EQUITY RESEARCH · INITIATION OF COVERAGE · INDIA · AUTOMOBILES (PASSENGER VEHICLES)

Maruti Suzuki India Ltd

NSE: MARUTI · India's largest car maker · 2.42 million vehicles in FY26

Volumes are booming, margins are not: we start at Hold

19 October 2026 · prices as of 16 October 2026

RATING	CMP (16-Oct-26)	12-MONTH TARGET (50:50 DCF / P/E)	PRICE UPSIDE / DIV. YIELD
HOLD	**₹11,489**	**₹11,550**	**+0.5% / 1.2%**
model-based · medium conviction			

Summary. Maruti Suzuki is in the middle of the strongest volume cycle in its history, and it is also in the middle of one of its sharpest margin squeezes. Since the GST cut of 22 September 2025 moved small cars from a 28% rate to 18%, volumes have surged: Q1 FY27 (June 2026 quarter) total sales were 682,724 units (+29.3% YoY), and the July–September releases add up to 696,654 units for Q2 FY27 (+26.5% on Q2 FY26, our sum of the three monthly releases). Domestic passenger-vehicle share reached 41.2% in Q1 FY27 (+230 bps). But the profit line has not followed: standalone EBITDA margin fell to 8.6% (12.6% a year earlier) because material cost rose to 80.5% of net sales (+600 bps), PAT fell 10.8% to ₹3,352 cr, and the share price has fallen to ₹11,489, about 34% below the January 2026 high of ₹17,372.

Why we rate it Hold. We value the shares two ways and blend them equally. (1) A 15-year free-cash-flow DCF (cost of equity 12.1%, terminal growth 5%) gives ₹8,376 per share today and ₹9,394 in twelve months; it is deliberately conservative on capex because management has put ₹77,500 cr of capital expenditure over FY27–FY31 on the table. (2) A P/E leg at 26x our FY28E EPS of ₹526 gives ₹13,670; 26x is the middle of the 25.5x–30x range used by brokers in the sources we reviewed. The 50:50 blend is ₹11,532, which we round to a target of **₹11,550**: a total return (including the ₹140 dividend) of about 1.7%, inside our Hold band of −10% to +15%. The shares are not expensive on earnings that management says can recover; they are not cheap enough on our cash-flow arithmetic to pay for the risk that the recovery takes longer than the market hopes.

What would change our view. Upgrade: evidence that EBITDA margin returns toward 12% by FY28 as management says it expects (company basis; Q1 FY27 was 8.6%) while volumes stay near 2.9–3.0 million units a year; or a price below about ₹10,000 (Section 11.9). Downgrade: a second consecutive quarter in which material cost stays near 80% of sales, a break in the supply constraint that sends inventory back toward the 38–40 days seen industry-wide in August 2026 (ICRA), or evidence that the 41.2% share is being given back to Tata and Mahindra.

Key data	Value	Key financials (₹ cr, standalone)	FY25	FY26	FY27E	FY28E
Market cap (Screener)	₹3,61,217 cr	Net sales	1,45,098	1,74,370	202,760	222,377
Shares	31.44 cr	Operating EBITDA (company basis)	20,149	21,450	20,276	25,129
High / low (Screener)	₹17,372 / ₹11,125	EBITDA margin	13.9%	12.3%	10.0%	11.3%
Promoter / FII / DII	58.65 / 12.82 / 25.09%	Net profit	14,298	14,445	13,243	16,530
Cash & investments	₹59,001 cr (ICICI Sec.)	EPS (₹)	455	459	421	526
P/E (trailing)	25.2x (Screener)	P/E at CMP (x)	25.3	25.0	27.3	21.9
ROE / ROCE	14.3% / 18.9%	Dividend per share (₹)	135	140	–	–

Source: Screener (16-Oct-26) for market data; company Q4 FY26 investor presentation for FY25–FY26 standalone figures; ICICI Securities (3-Aug-26) for cash and investments; our estimates (standalone basis) for FY27E–FY28E. Reported FY26 EPS in the broker table is ₹459 (standalone); Screener shows ₹466.9 on a consolidated basis.

Contents

Scope, sources and how to read this report 4

1. Executive summary and investment thesis 5

1.1 In one page . . . 5
1.2 Five things the data support . . . 5
1.3 Why Hold when the volume growth is so strong . . . 6
1.4 Timeline of events, September 2025 to October 2026 . . . 6

2. Company overview 7

2.1 What Maruti Suzuki does . . . 7
2.2 The product and segment mix . . . 7
2.3 Management, board and governance . . . 8
2.4 Shareholders . . . 8
2.5 Capacity roadmap and capital programme . . . 9

3. Industry analysis 9

3.1 Industry volumes: record year, fast-moving base . . . 9
3.2 The GST 2.0 reform and what it did . . . 10
3.3 Maruti's own market outlook . . . 10
3.4 Exports . . . 10
3.4a ICRA and SIAM outlook in detail . . . 11
3.5 Monthly databook, July–September 2026 (company releases) . . . 11

4. Competitive position 11

5. Regulation and legal matters 12

5.1 What CAFE-III means in practice . . . 13

6. Annual report analysis (FY24, FY25, FY26) 13

6.1 Three-year comparison . . . 13
6.2 FY24 annual report: the "best year" baseline . . . 13
6.3 FY25: BRSR 2025 data . . . 14
6.4 FY26: results, annual report and AGM . . . 14

7. Earnings-call analysis 15

7.1 Q2 FY26 call (31 October 2025): the GST reset . . . 15
7.2 Q3 FY26 call (28 January 2026): record retail, labour-code hit . . . 15
7.3 Q4 FY26 call (28 April 2026): war, treasury and the FY27 outlook . . . 16
7.4 Q1 FY27 call (31 July 2026): through broker notes . . . 17
7.5 Guidance tracker across the four calls . . . 18
7.6 Questions we would put to management . . . 18

8. Financial analysis 18

8.1 Eleven years of consolidated results . . . 18
8.2 Quarterly trend . . . 19
8.3 Cost structure and margin bridge . . . 20
8.4 Balance sheet and cash flow . . . 21
8.4a Treasury income and mark-to-market . . . 21
8.4b Dividend history . . . 21
8.5 Returns and capital allocation . . . 22

9. Unit economics and segment analysis 22

9.1 Per-vehicle arithmetic . . . 22
9.2 Domestic mix, exports and CNG . . . 22
9.3 What one more million units is worth: capacity economics . . . 22

10. Forecasts and scenarios 23

10.1 Base-case assumptions . . . 23
10.2 Base-case estimates . . . 23
10.3 Comparison with broker estimates . . . 24
10.4 Scenarios . . . 24

10.5 FY28E EPS sensitivity to volume and margin . . . 25
10.6 What the target multiple implies for different EPS paths . . . 25
11. Valuation 25
11.1 Method . . . 25
11.2 Cost of capital . . . 25
11.3 DCF result . . . 26
11.4 Sensitivity . . . 26
11.5 Reverse DCF: what the price requires . . . 26
11.6 Earnings-multiple leg and cross-checks . . . 26
11.6a Price action in 2026 . . . 27
11.6b What brokers said after the last two results . . . 27
11.7 Target price and rating . . . 28
11.8 Bull and bear arguments . . . 28
11.9 Price levels at which the rating would change . . . 28
12. Risks 28
13. Catalysts and monitoring list 29
14. Scenario detail and sensitivity analysis 30
14.1 Scenario assumptions side by side . . . 30
14.2 Valuation bridge by scenario . . . 30
14.3 Bear and bull projections in full . . . 30
14.4 Sensitivity grids . . . 31
14.5 Tornado and capex sensitivity . . . 32
14.6 Watch-list for Q2 FY27 . . . 32
14.7 Two-way grid: volume growth and margin together . . . 33
14.8 Management quote bank (verbatim, from transcripts we read) . . . 33
15. Evidence register: what we read, how directly, and how we used it 33
15.1 Grading scheme . . . 33
15.2 Register . . . 33
15.3 How the evidence limits our conclusions . . . 34
15.4 Reading order for a reviewer . . . 34
16. Frequently asked analytical questions 34
Appendix A. Annual financials (consolidated, Screener) 36
Appendix B. Balance sheet and cash flow (consolidated, Screener) 36
Appendix C. DCF detail (base case) 36
Appendix C2. Quarterly volume and mix databook 37
Appendix C3. Update checklist for the Q2 FY27 results (27 October 2026) 37
Appendix C4. Company-reported standalone results (₹ million) 37
Appendix C5. Pricing and discount tracker 37
Appendix C6. Environmental and people metrics over time 38
Appendix D. Glossary 38
Appendix E. Sources 38
Appendix F. Data notes: conflicts, derivations and gaps 38
Appendix G. Methodology, rating bands and disclaimer 39
Appendix H. Audit trail: how each derived figure was computed 40

Scope, sources and how to read this report

This report was prepared on 19 October 2026 from public documents. It follows one rule above all: every figure is either taken from a source we name, derived from named figures by arithmetic we show, or labelled as our own estimate. Where sources disagree we say so and, in Appendix F, list the conflict. We did not invent numbers to fill gaps; where an item could not be found (a beta, a consensus estimate, royalty paid to Suzuki Motor Corporation, contingent liabilities) we say it was unavailable.

Document type	What we used	Access
Earnings-call transcripts (4)	Q2 FY26 (31-Oct-25; transcript text truncated mid-Q&A;), Q3 FY26 (28-Jan-26) and Q4 FY26 (28-Apr-26) read as transcript text; Q1 FY27 (31-Jul-26) through the ICICI Securities and Arihant Capital call notes and a Quartr summary because the transcript PDF could not be opened	3 read directly (1 partial); 1 via notes
Annual reports (3)	FY24 integrated annual report (NSE PDF, excerpts retrieved); FY25 via the BRSR 2025 filing and results documents; FY26 via the results press release, 45th AGM notice and Reuters/Upstox coverage of the annual report and AGM	1 excerpted; 2 indirect
Company results	Q4 FY26 and Q1 FY27 investor presentations (standalone); monthly sales press releases (Jul–Sep 2026)	Direct
Regulator / government	GST Council 2.0 rate changes (22-Sep-25, via CarDekho); CAFE-III norms notified 30-Sep-26 (Deccan Chronicle) and the revised draft (Outlook Business); End-of-Life Vehicles Rules 2025 (company disclosure via Quartr); 2014 CCI penalty (BRSR)	Via press
Industry reports	SIAM Q2 FY27 and FY26 releases and ICRA FY27 outlook (via Autocar Professional, KNN India); Maruti's own market forecast in its annual report (Reuters)	Via press
Broker research	ICICI Securities (29-Apr-26, 3-Aug-26), Arihant Capital (8-Aug-26); Axis Direct, Elara, MOFSL, HSBC, UBS, Jefferies, Kotak targets as reported by press	2 read; others via press
Market data	Screener consolidated history and shareholding; 5paisa price notes; Upstox/Kotak Neo market articles	Direct

Where a figure appears in more than one source we use the company's own presentation first, then the broker table, then Screener. Standalone figures are used for margins and forecasts; Screener consolidated figures are used for the long history and are labelled.

Conventions. ₹ cr = ten million rupees; ₹ lakh = one hundred thousand rupees. "Units" are vehicles. Total volume includes domestic sales (passenger vehicles, light commercial vehicles and vehicles sold to other OEMs) and exports. "EBITDA margin" follows the company's presentation: operating EBITDA includes other operating income and is measured on net sales. "Standalone" means Maruti Suzuki India Ltd alone; Suzuki Motor Gujarat Pvt Ltd (SMG) was amalgamated with effect from 1 December 2025 with an appointed date of 1 April 2025, and prior periods were restated by the company. Estimates for FY27E onwards are our own and are not company guidance or consensus.

1. Executive summary and investment thesis

1.1 In one page

- **What it is.** India's largest passenger-vehicle maker: 2,422,713 units in FY26 (domestic 1,974,939 including 113,235 sold to other OEMs; exports 447,774), net sales ₹1,74,370 cr and PAT ₹14,445 cr, with no debt and ₹59,001 cr of cash and investments (ICICI Securities, FY26P).
- **Where we are in the cycle.** GST 2.0 on 22 September 2025 cut small cars to 18% (from 28%); the larger-car rate went to 40% with the 22% cess removed. Industry volumes jumped: SIAM reports PV domestic wholesales of 13,60,687 units in Q2 FY27 (+30.7%) and 26,37,067 units in April–September 2026 (+28.3%).
- **Volumes.** Maruti's Q1 FY27 sales of 682,724 units (+29.3%) were achieved with capacity of about 2.9 million units after Kharkhoda Phase 2 and Hansalpur Line 4; management describes demand as supply-constrained, with an order book of about 130,000 vehicles and dealer inventory of about 13 days.
- **Margins.** Q1 FY27 standalone EBITDA margin was 8.6% against 12.3% in Q4 FY26 and 12.6% in Q1 FY26. Management attributes about 300 bps of adverse impact to the quarter, of which about 110 bps came from a temporary move from quarterly to monthly settlement with suppliers on commodity-linked parts (ICICI/Arihant call notes). It expects margin to recover in Q2 and Q3 and has taken price increases of 50 bps in June, another in August, and up to ₹20,000 on select models in September.
- **Valuation.** At ₹11,489 the shares trade at 25.2x trailing earnings (Screener) and 21.9x our FY28E EPS of ₹526. Enterprise value is about ₹3.02 lakh cr after deducting ₹59,001 cr of cash and investments, or about 12.0x our FY28E EBITDA.
- **Our call.** Hold, target ₹11,550 (12-month, 50:50 blend of DCF ₹9,394 and 26x FY28E P/E ₹13,670). The target sits within 1% of the current price; the return comes almost entirely from the ₹140 dividend.

1.2 Five things the data support

(1) The volume story is real, and measurable. Total volume by quarter: Q1 FY26 527,861; Q2 FY26 550,874; Q3 FY26 667,769; Q4 FY26 676,209; Q1 FY27 682,724; Q2 FY27 696,654 (sum of July 241,421, August 219,220 and September 236,013). First-half FY27 volume of 1,379,378 is 27.9% above the 1,078,735 of H1 FY26 and already 57% of the whole of FY26.

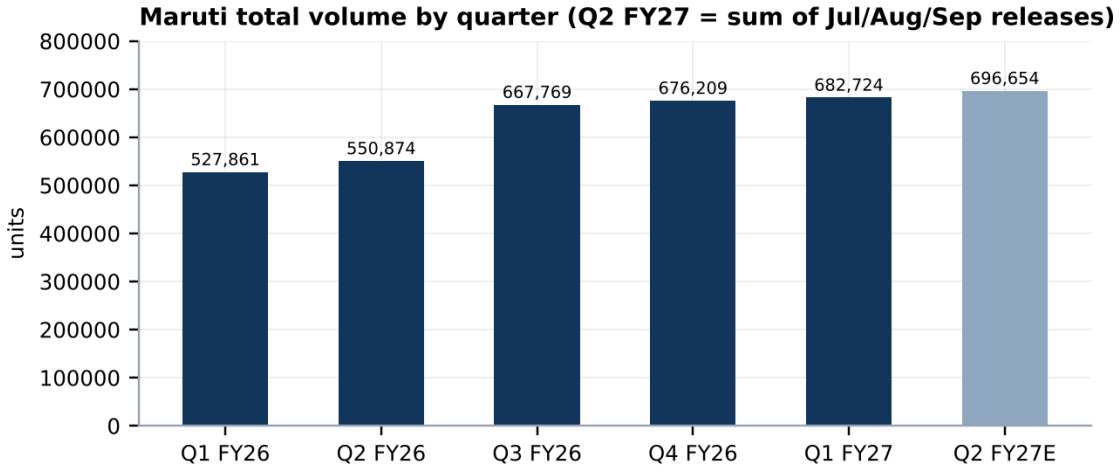


Figure 1: Maruti Suzuki total volume by quarter (units). Sources: Q3 FY26/Q4 FY26/Q1 FY27 investor presentations and call transcripts; Q2 FY26 transcript; monthly sales releases (Jul–Sep 2026, our sum). Q2 FY27 is a sum of unaudited dispatch releases, not a reported quarter.

(2) The mix is shifting toward the low-realisation, high-volume end. Q1 FY27 mini-car sales rose 124.1% (to 43,757) and compact+mid-size rose 26.2% to 226,029, while utility vehicles rose 35.2% to 218,885. Sales to other OEMs fell 19.5%. Average realisation per unit (net sales ÷ total units) was ₹7.32 lakh in Q1 FY27, against ₹6.94 lakh a year earlier (+5.5% on ICICI's ASP basis) and ₹7.41 lakh in Q4 FY26.

(3) Material cost, not selling cost, explains the margin gap. Against Q1 FY26, material cost rose 600 bps (74.5% to 80.5%), while employee cost fell 70 bps (5.6% to 4.9%), other expenses fell 170 bps (12.7% to 11.0%) and depreciation fell 60 bps (4.2% to 3.6%). Operating leverage was favourable; the commodity and forex hits were larger.

(4) The balance sheet is a fortress and the capex plan is large. Debt is nil; ICICI shows cash and investments of ₹59,001 cr. Capex is ₹14,000 cr in FY27 (+40% over the roughly ₹10,000 cr of FY26) and ₹77,500 cr cumulatively for FY27–FY31 (Upstox, AGM 31-Aug-26). Consolidated operating cash flow was ₹19,100 cr in FY26 (Screener) against investing outflows of ₹14,734 cr.

(5) The regulatory stack has just got clearer. CAFE-III was notified on 30 September 2026 for 1 April 2027 – 31 March 2032 with a weight-based curve and no separate small-car concession; Deccan Chronicle reports Maruti is expected to gain the most because it argued for a stricter approach to larger vehicles. The 5-star Bharat NCAP Brezza and the e-Vitara are examples of the product response.

1.3 Why Hold when the volume growth is so strong

Because the price already reflects part of the recovery and our cash-flow valuation does not support a premium. At ₹11,489 the market capitalisation of ₹3.61 lakh cr includes ₹59,001 cr of cash and investments (₹1,877 per share). On our base case the DCF is ₹8,376 today; to justify the current price on DCF alone the base case would need about 3.8 percentage points of extra volume growth every year for 14 years, or a steady-state EBITDA margin near 17% (company basis, against the 13.9% peak in FY25). That is why we do not rely on the DCF alone: Indian large-cap autos have traditionally been priced on earnings, and the 26x multiple we use is the middle of the broker range we saw. With the two legs apart by ₹4,276, we weight them equally and say so.

Bottom line. Maruti has the volumes, the capacity plan and the balance sheet. What it lacks, for now, is visible evidence that margin returns to 12% as management says it expects by FY28. Q2 FY27 results on 27 October 2026 are the first test. At ₹11,489 we would be neutral; below about ₹10,043 the rating bands would make it a Buy on our target; above about ₹12,833 a Sell.

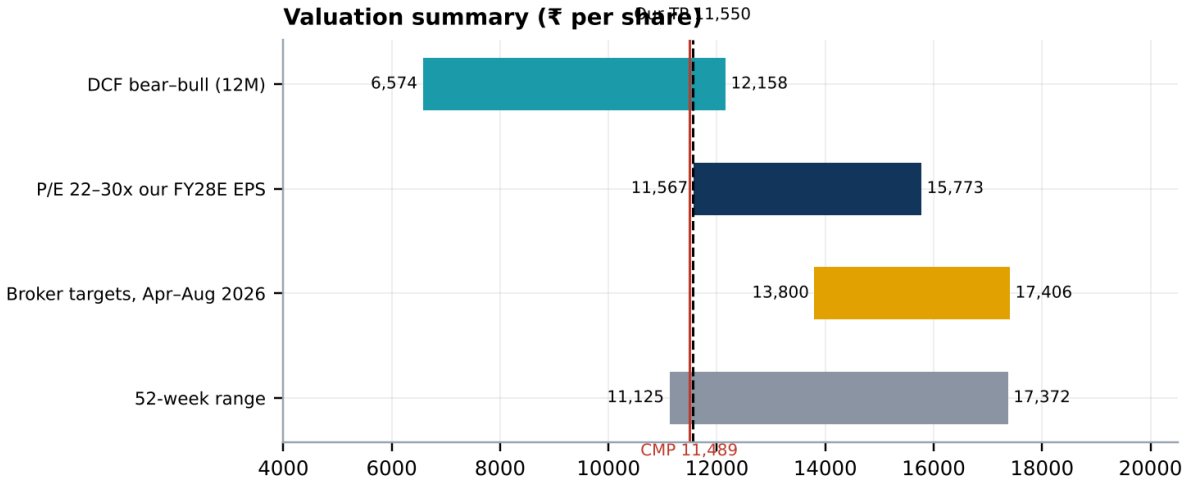


Figure 2: Valuation summary. DCF range is our bear–bull 12-month value; P/E range is 22–30x our FY28E EPS; broker targets (₹13,800 Jefferies to ₹17,406 MOFSL) were issued between April and August 2026 and are not all current. 52-week range per Screener (₹11,125 low is the current-period low).

1.4 Timeline of events, September 2025 to October 2026

Date	Event	Source
22 Sep 2025	GST 2.0: small cars 28%→18%; larger cars 40% (cess removed); EVs unchanged at 5%	CarDekho; GST Council
31 Oct 2025	Q2 FY26: sales 550,874; EBIT margin 8.5%; festive retail ~400,000 projected; bookings ~500,000	Q2 FY26 transcript
1 Dec 2025	SMG amalgamation effective (appointed date 1-Apr-25); prior periods restated	Q3 FY26 call
21–22 Nov 2025	Labour Codes enforced; one-time provision ₹594 cr in Q3 FY26	Q3 FY26 call
5 Jan 2026	52-week high of ₹17,370–17,372	Upstox; Screener
28 Jan 2026	Q3 FY26: record retail ~684,000; PAT ~₹3,794 cr; order book ~175,000	Q3 FY26 transcript
26 Feb 2026	West Asia conflict begins; stock down ~15% by end-April per Elara	Business Today
30 Mar 2026	52-week low ₹12,201	Upstox
28 Apr 2026	Q4 FY26: PAT ₹3,591 cr (−6.9%); record dividend ₹140; ~₹750 cr treasury MTM hit	Q4 FY26 call
Apr–Jul 2026	Kharkhoda Phase 2 commissioned (Apr); Hansalpur Line 4 begins production (Jul): +0.5M units	Q4/Q1 calls
Jun / Aug 2026	Price increases (up to ₹30,000 from June; another in August)	Chola; Arihant
31 Jul 2026	Q1 FY27: volume +29.3%, EBITDA margin 8.6%, PAT −10.8%; call notes say ~10% domestic growth guidance kept	Presentation; ICICI

Date	Event	Source
31 Aug 2026	45th AGM; capex ₹14,000 cr in FY27; ₹77,500 cr over FY27–31	Upstox
Sep 2026	Price increase up to ₹20,000 on select models; stock makes 52-week lows (₹12,166 on 16-Sep)	SAHI; 5paisa
30 Sep 2026	CAFE-III notified (1-Apr-27 to 31-Mar-32)	Deccan Chronicle
16 Oct 2026	Close ₹11,489; market cap ₹3,61,217 cr	Screener
27 Oct 2026	Q2 FY27 results due	PSU Connect

Dates as reported by the cited sources. Q3 FY26 PAT (₹3,794 cr) is standalone per the company presentation (₹37,940 mn); Screener's consolidated figure is ₹3,879 cr.

2. Company overview

2.1 What Maruti Suzuki does

Maruti Suzuki India Ltd designs, manufactures and sells passenger cars, utility vehicles, vans and light commercial vehicles in India and exports them to about 120 countries (Arihant call notes; the FY24 annual report said "nearly 100 countries"). It is the largest PV maker in India and, in FY26, the top exporter of passenger vehicles from India for the fifth consecutive year with a 49% share of India's PV exports (company press release). It supplies vehicles to other OEMs (113,235 units in FY26) and sells through more than 4,600 sales outlets and over 5,900 service touchpoints (ICICI Securities, Q4 FY26 call notes). Rail carried more than 600,000 vehicles in FY26 (+18.5%), 26.5% of outbound logistics (ICICI).

The company operates large plants at Manesar, Gurugram, Kharkhoda (Haryana) and Hansalpur (Gujarat). Suzuki Motor Gujarat Pvt Ltd, which owned the Gujarat plant and supplied vehicles to Maruti, was amalgamated into Maruti with effect from 1 December 2025 (appointed date 1 April 2025). Management told analysts that EBIT is largely unaffected while EBITDA moves up because of reclassification (Q3 FY26 call). The FY24 annual report put production capability at about 2.35 million units a year, including 0.75 million from SMG; capacity is now about 2.9 million units (Q1 FY27 notes).

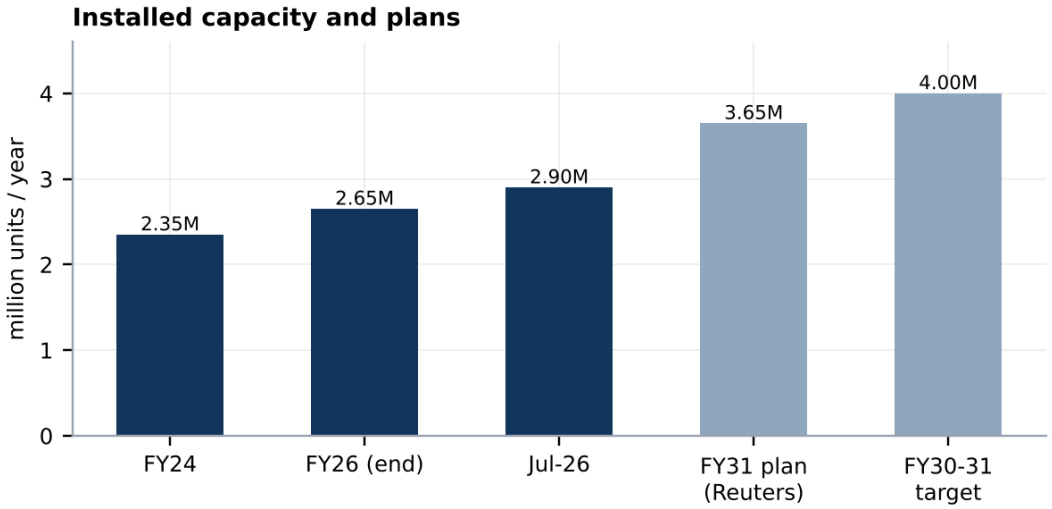


Figure 3: Installed capacity and stated plans (million units a year). Sources: FY24 annual report (2.35M); ICICI/Arihant/SAHI (2.65M before; 2.9M from July 2026); Reuters on the annual report (3.65M by FY31, ~₹35,000 cr); Arthneeti/Sahi (4M by FY30–31 target).

2.2 The product and segment mix

Domestic segment	FY26 units	FY26 YoY	% of domestic	Q1 FY27 units	Q1 FY27 YoY
Mini (Alto, S-Presso)	112,291	−10.7%	5.7%	43,757	+124.1%
Compact (Swift, Baleno, Dzire, WagonR, etc.)	808,102	+4.8%	40.9%	226,029 (compact + mid-size)	+26.2%
Mid-size	1,980	−76.4%	0.1%	(incl. above)	–
Utility vehicles	760,987	+5.7%	38.5%	218,885	+35.2%
Vans (Eeco)	139,769	+3.0%	7.1%	36,557	+10.4%
LCV (Super Carry)	38,575	+11.8%	2.0%	9,579	+12.6%
Sales to other OEMs	113,235	+6.4%	5.7%	23,181	−19.5%
Domestic total	1,974,939	+3.9%	100%	557,988	+29.5%

Source: Q4 FY26 and Q1 FY27 investor presentations (company segment definitions). Q1 FY27 passenger cars (mini + compact + mid-size) 269,786 (+35.8%). Percentages in the company table sum to 100% of domestic sales.

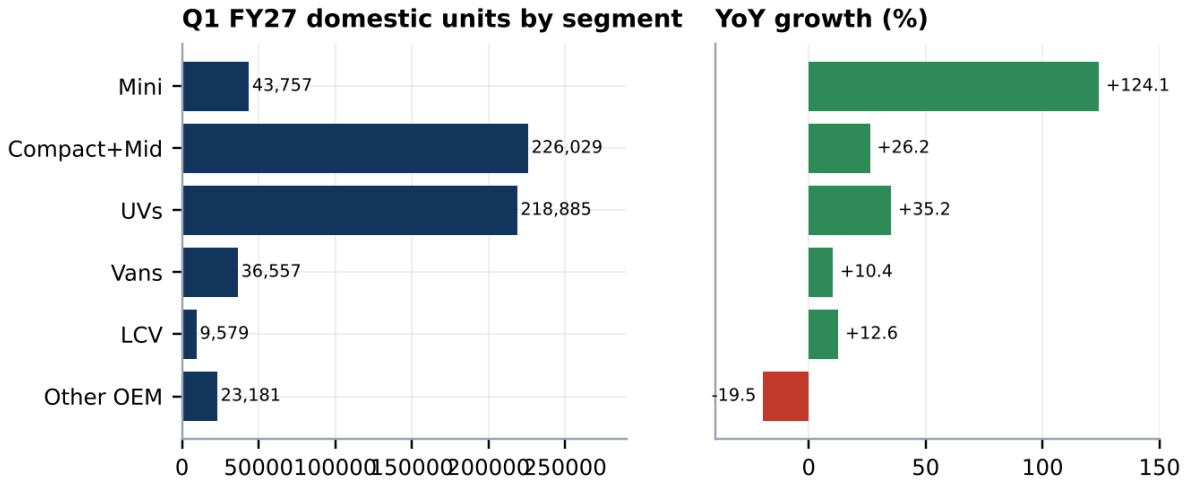


Figure 4: Q1 FY27 domestic units by segment and YoY growth. Source: Q1 FY27 investor presentation.

Three observations. First, FY26 was a year of two halves: Maruti's domestic volumes fell 5.6% in H1 and rose 12.3% in H2 after the GST cut (Q4 FY26 call), so the annual growth of 3.9% understates the exit rate. Second, utility vehicles are still the fastest-growing profit pool in the industry (68% of PV sales in the first five months of FY27 per ICRA) while Maruti's UV share of its own domestic mix was 38.5% in FY26 and 39.2% in Q1 FY27. Third, the company says its ICICI-reported segment shares in FY26 were cars 66.9%, UVs 24.5% and vans 88%; the 24.5% UV share is the gap management is trying to close with "seven more SUVs" by the end of the decade (Q4 FY26 call).

2.3 Management, board and governance

Person	Role	Facts from our sources
R.C. Bhargava	Chairman	Chairman's statement in the FY24 report; quoted on a 6.1–6.3 million-unit domestic PV market by FY2030-31 (Reuters, 9-Aug-26)
Hisashi Takeuchi	Managing Director & CEO	Quoted on seven new SUVs over five to six years and on capex (AGM, 31-Aug-26)
Arnab Roy	CFO	Quoted on margin drivers, treasury and start-up costs in Q2–Q4 FY26 calls
Rahul Bharti	Executive Director/CIRO, Corporate Affairs	Lead speaker on demand, GST, CAFE, exports in the calls
Sanjeev Grover	Executive Officer & Company Secretary	Signs exchange filings (e.g., transcript intimation of 2-Feb-26)
Board	11 members, 3 women (27.27%) at 31-Mar-25 (BRSR FY25)	Sustainability Committee of 7: 4 independent directors, 2 executive, 1 non-executive chair; FY24 report proposed Anjali Bansal and Ireena Vittal as independent directors

Sources as listed. We did not review the FY26 corporate-governance report; independence ratios, related-party approvals and remuneration are not analysed here (Appendix F).

Parent relationship. The company describes its relationship with parent Suzuki Motor Corporation as "closer and more integrated", which it expects to shorten development cycles and cut costs (Reuters on the FY26 annual report). Suzuki Motor had earlier said it would invest ₹70,000 cr in India over five to six years (Upstox). Royalty paid to Suzuki is a standard analytical question for Maruti; we could not retrieve the amount for any year from our sources and do not estimate it. The Suzuki group also targets a 10% EBIT margin and 50% share by FY2030-31, which management said it had adopted as a "guiding light" (Q2 FY26 call).

2.4 Shareholders

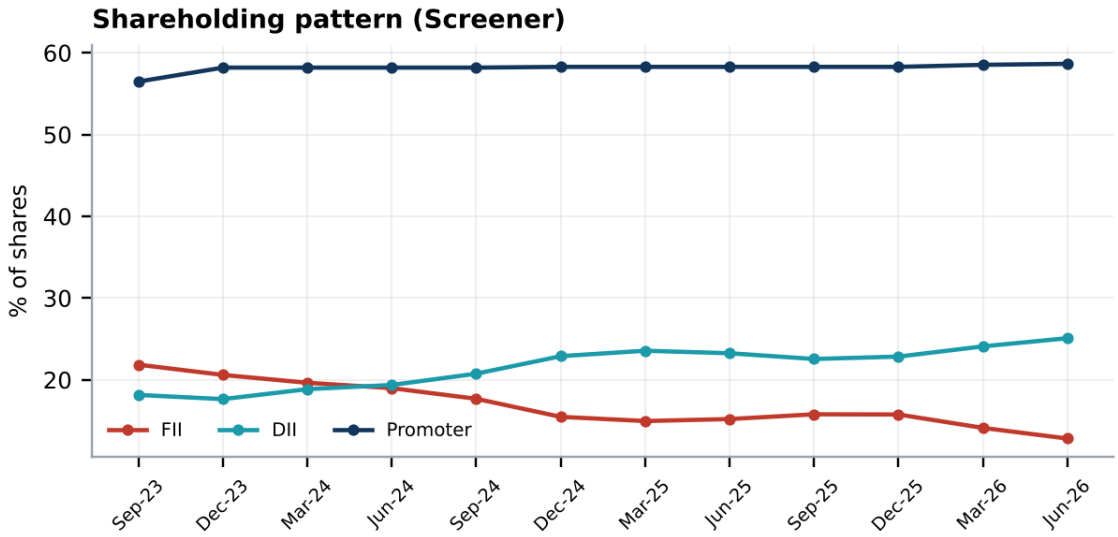


Figure 5: Shareholding pattern, Sep-23 to Jun-26. Source: Screener. FII holding fell from 21.85% to 12.82%; DIIs rose from 18.15% to 25.09%; promoter 58.65%.

The FII stake has fallen by about nine percentage points in nine quarters while mutual funds and insurers took the other side; the number of shareholders was 4,11,238 at June 2026 (Screener). Upstox notes the stock was down 19% year to date at 31 August 2026 and that FIIs trimmed 6.16 points over the last two years. The shift is relevant to the valuation: an FII-to-DII handover usually means the marginal price-setter has changed, but we draw no conclusion from it beyond noting that the stock has underperformed in 2026 (Kotak Neo: Maruti down about 25% from its high, weaker than Mahindra −19%, Hyundai −16% and Tata Motors −15% year to date at the time of that article).

2.5 Capacity roadmap and capital programme

Item	Fact	Source
Installed capacity	~2.35M (FY24 incl. SMG 0.75M); ~2.65M before Jul-26; ~2.9M from Jul-26	FY24 AR; SAHI; Arihant
Kharkhoda Phase 2	Commissioned Apr-26 (Q4 call) / May-26 (Arihant); +250,000 units	Q4 FY26 call; Arihant
Hansalpur Line 4 (Plant D)	Commercial production Jul-26; +250,000 units; mainly an EV line; capex ~₹3,900 cr; site capacity 1M units; cumulative investment at Hansalpur ₹25,288.7 cr	SAHI; Arihant
Second Gujarat greenfield	Announced (Q3 FY26 call); execution update is a watch item; biomass plant planned at Sanand	Q3 call; Upstox
FY27 capex	~₹14,000 cr (+40% over ~₹10,000 cr)	Q4 call; Upstox
FY27–31 capex	₹77,500 cr cumulative; ~₹35,000 cr to reach 3.65M by FY31	Upstox; Reuters
Targets	4M units a year by FY30–31 (long-standing target, FY24 AR); 3.65M by FY31 plan (Reuters)	FY24 AR; Reuters
Solar / green power	79.1 MW (FY26) → 211.3 MW by FY31, ~35% of electricity; four CBG projects ₹561 cr	Upstox; Reuters
EV charging	Over 1 lakh points targeted by 2030	Q4 FY26 call

The 4M and 3.65M figures are not reconciled in our sources: the first is a target from the FY24 report and Q4 FY26 call (“medium-term”), the second is the capacity reached by FY31 on the current investment plan per Reuters. We show both.

3. Industry analysis

3.1 Industry volumes: record year, fast-moving base

SIAM’s Q2 FY27 release shows PV domestic wholesales of 13,60,687 units (+30.7% YoY); utility vehicles 9,19,068 (+34.2%, about 68% of PV sales); passenger cars 3,98,631 (+24.9%); vans 42,988 (+15.3%). April–September 2026 PV wholesales were 26,37,067 (+28.3%). PV exports were 2.29 lakh units in the quarter, down 5.2% on a high base and logistics constraints linked to the West Asia crisis. All segments together: 83,87,938 domestic units (+18.2%) in the quarter and 1,58,00,017 (+19.8%) in H1 (SIAM via Autocar Professional, KNN India).

Industry measure	Value	Period	Source
PV industry volume	12.7 lakh units, +26% YoY (domestic, SIAM basis quoted by ICICI)	Q1 FY27	ICICI Securities
PV domestic wholesales	13,60,687 units, +30.7%	Q2 FY27	SIAM via Autocar Pro
PV domestic wholesales	26,37,067 units, +28.3%	Apr–Sep 2026	SIAM via Autocar Pro

Industry measure	Value	Period	Source
PV industry volume	46 lakh units in FY26 (+8%); record 13.2 lakh in Q4 FY26 (+13%)	FY26	ICICI Securities
PV industry H1 / H2 FY26	−0.4% / +16.7% (Maruti: −5.6% / +12.3%)	FY26	Q4 FY26 call
PV inventory	38–40 days (Aug-26), vs 56 days (Aug-25)	Aug 2026	ICRA
Share of UVs in PV sales	68%	Apr–Aug 2026	ICRA
Alternative powertrains (CNG + EV)	34% of PV sales	Apr–Aug 2026	ICRA
Wholesale growth forecast	4–6% in FY27 (after +29% in first five months)	FY27	ICRA (1-Oct-26)
SIAM view of FY27	5–7% domestic PV growth (older estimate)	FY27	Multibagg
UV share of PV market	26.5% (2019) → 54.7% (2024)	CY2019–24	SAHI

Different bases (wholesale vs retail; fiscal vs calendar) are shown as reported. ICRA's 4–6% FY27 forecast implies a sharp slowdown in H2 after +29% in the first five months; ICRA gives the high base and recent price increases as reasons.

3.2 The GST 2.0 reform and what it did

On 22 September 2025 the GST rates on cars were reset: small cars (petrol up to 1,200 cc, diesel up to 1,500 cc, length under 4,000 mm) moved from 28% to 18%; larger cars moved from an effective 50% (28% plus 22% cess) to a flat 40%; electric vehicles stayed at 5%; the article describing the changes notes inconsistent wording on the exact 40% criteria. Maruti's own commentary quantifies the effect: festive-season retail from 22 September to 31 October 2025 was projected at about 400,000 units against 211,000 a year earlier, of which about 250,000 were small cars growing almost 100%; bookings were about 500,000 since 22 September against about 350,000 a year earlier; cars in the 18% bracket grew about 30% in October versus 4–5% for the 40% bracket (Q2 FY26 call). By March 2026 about 130,000 of the 190,000 pending orders were small cars in the 18% bracket.

Is it sustainable? Management itself was careful. On the Q2 FY26 call it floated about 6% sustainable industry growth; on the Q3 call it said Q3 included some pulled-forward and postponed demand and that the question of what level of demand is sustainable "after the euphoria is over" remained open (Rahul Bharti). ICRA's FY27 forecast of 4–6% wholesale growth reflects the same caution. Our base case assumes Maruti's own volume growth slows to +1% in H2 FY27 over H2 FY26 (a high base) and to +7% in FY28E.

3.3 Maruti's own market outlook

Chairman R.C. Bhargava said Maruti expects India's domestic PV market to reach 6.1–6.3 million units by FY2030-31, driven by a revival in small cars and a stronger SUV segment; the company is reassessing its five-year growth targets because it expects small cars to grow much faster than in the last five years (Reuters, 9-Aug-26). The investment to raise capacity to 3.65 million vehicles by FY31 is about ₹35,000 cr (about $4 billion). For context, FY26 industry volume was about 4.6 million (ICICI), so the forecast implies roughly 6–6.5% a year over five years (our arithmetic). We cite this as a company view, not an independent forecast.

3.4 Exports

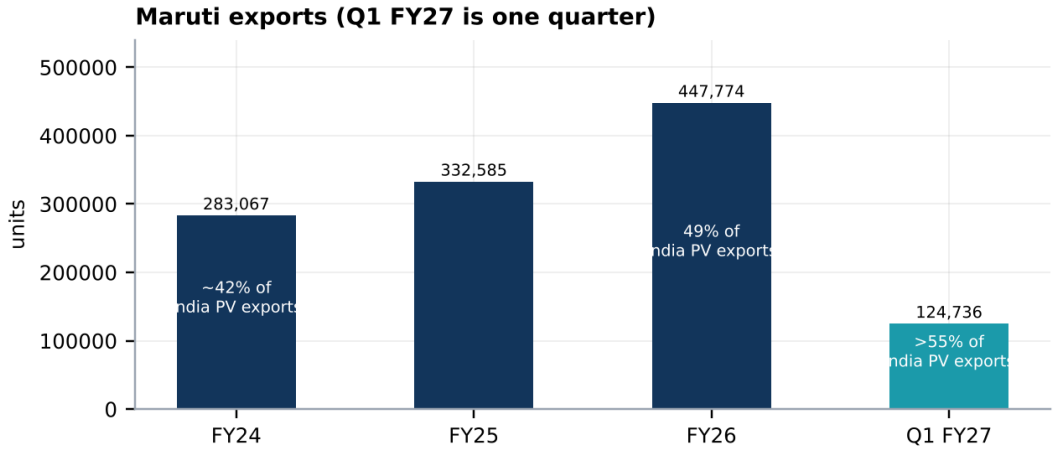


Figure 6: Maruti exports (units). Sources: FY24 annual report (283,067); company FY25–FY26 data; Q1 FY27 presentation. Export share of India's PV exports: ~42% (FY24 report), 49% (FY26 press release), >55% (Q1 FY27 call notes).

Exports hit 447,774 units in FY26 (+34.6%), with Q4 FY26 a record 137,215 (+61.3%) and export revenue of about ₹11,500 cr ($1.24 billion) in that quarter. In Q1 FY27 exports were 124,736 (+28.6%) but SIAM shows industry PV exports down 5.2% in Q2 FY27, and Maruti's own July exports were 30,056 against 31,745 a year

earlier and September's 44,219 included no prior-year comparison in the release we read. Management declined to guide: "If you can help me predict the war, I can predict the exports number" (Rahul Bharti, Q4 FY26 call). The EU/UK FTA opening appears limited to values above about €15,000 (Q3 FY26 call). Export risk is therefore a logistics and geopolitical risk more than a demand risk.

3.4a ICRA and SIAM outlook in detail

Item	ICRA (1-Oct-26)	SIAM (Q2 FY27 release)
Outlook	PV wholesales +4–6% in FY27	Positive growth in Oct–Mar, rates may moderate against a higher base
Support	New launches, strong winter wedding season, operating leverage, cost control, price increases	Festive season, new launches, infrastructure spending, fleet replacement, PARIVARTAN scheme (CVs)
Risks	High base, price hikes, weak monsoon hitting H2 rural sentiment; OEM margins compressed ~200 bps in Q1 FY27	Inflation raising interest rates; geopolitical developments
Capex	OEM capex ₹25,000–30,000 cr a year (~5–6% of revenue)	–
Data	5M FY27 wholesale +29%, retail +27%; inventory 38–40 days (Aug-26) vs 56 days (Aug-25); UVs 68%; CNG+EV 34%	Q2 FY27 PV domestic 13,60,687 (+30.7%); exports 2.29 lakh (−5.2%); UVs +34.2%; cars +24.9%; vans +15.3%

Sources: Autocar Professional (ICRA, 1-Oct-26; SIAM Q2 FY27).

Reading the two together. ICRA's margin point is directly relevant to Maruti: industry-wide OEM margins compressed by about 200 bps in Q1 FY27, versus a 400 bps fall for Maruti's standalone EBITDA margin on a different basis (company, not ICRA); the gap suggests Maruti's Q1 FY27 outcome was worse than the industry's, which is consistent with its small-car mix and the supplier-settlement effect, though we cannot verify the like-for-like basis of ICRA's figure.

3.5 Monthly databook, July–September 2026 (company releases)

Maruti Suzuki, units	Jul-26	Jul-25	Aug-26	Sep-26
Total sales	241,421	180,526	219,220	236,013
Domestic PV	196,203	137,776	–	–
Mini (Alto, S-Presso)	12,634	6,822	–	–
Compact + mid-size	90,822	65,840	–	–
Utility vehicles	78,851	52,773	–	–
Vans (Eeco)	13,896	12,341	–	–
LCV (Super Carry)	3,920	2,794	–	–
Sales to other OEMs	11,242	8,211	–	6,542
Domestic (PV + LCV; Sep: incl. as released)	200,123	–	–	185,252
Exports	30,056	31,745	–	44,219

Sources: Autocar Professional (July 2026); company press release (September 2026, whose segment table was an image we could not read); August total from SAHI (219,220). "–" = not retrieved. July domestic total shown as released (200,123, PV + LCV) while the 211,365 variant in the same source includes OEM supplies. April–July FY27 total 924,145 vs 708,387 a year earlier (+30.5%, our arithmetic); exports April–July 154,792; domestic PV April–July 721,431.

Two observations from the databook. First, July's 33.7% total growth was led by mini cars (+85%) and utility vehicles (+49%) while exports fell 5.3%, so the growth is a domestic story. Second, ICRA's industry inventory of 38–40 days in August 2026 (up five days in a month) against Maruti's own 13 days at June-end suggests the supply constraint may be loosening and that some second-quarter dispatches include restocking: this is our inference, not a company statement.

4. Competitive position

Maruti's FY26 domestic PV share was 39.3% (ICICI Securities, from company data), recovering to 41.2% in Q1 FY27 (+230 bps; company). Earlier in FY27 the share was below 40% (Kotak Neo, 14-Aug-26). Retail share data from FADA, reported by Autocar Professional, shows Tata Motors at 13.04% and Mahindra at 13.42% for FY26, with Tata ahead of Mahindra from February to June 2026 (Tata 14.16% in April, 13.80% in May, 13.88% in June 2026; Mahindra 13.56%, 12.75%, 13.17%). We do not have FADA-basis figures for Maruti or Hyundai, so the chart below mixes bases and should be read as indicative.

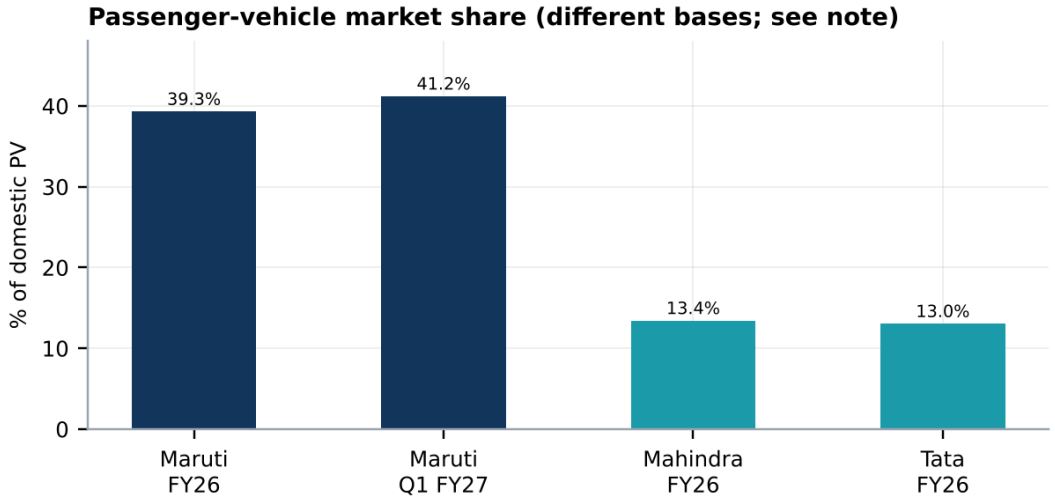


Figure 7: PV market share. Maruti: ICICI Securities (FY26) and company (Q1 FY27, domestic); Tata and Mahindra: FADA retail share for FY26 per Autocar Professional. Bases differ.

Dimension	Maruti Suzuki	What the sources say about rivals
Scale	2.42M units FY26; 2.9M capacity; 4M target	Tata and Mahindra ~13% each (FADA retail, FY26)
SUV momentum	UVs +35.2% in Q1 FY27; Victoris reached 50,000 sales fastest in the portfolio; new Brezza ~2,000 bookings a day	Kotak Neo: rivals moving faster in SUVs, limiting Maruti's share gains
Entry segment	Mini +124% in Q1 FY27; small cars "from red into black"	Entry demand tied to the 18% GST bracket
EV	e-Vitara launched (exports from Aug-25, supply-constrained domestically until Gujarat line)	Not covered in our sources
Pricing	Skipped Jan-26 hike after GST cut; hikes June, Aug, Sep 2026	ICRA: price hikes an industry-wide moderating factor
Capacity	+0.5M units in FY27; second Gujarat greenfield announced	ICRA: OEM capex ₹25,000–30,000 cr a year industry-wide

Sources: Q3/Q4 FY26 calls; Arihant and ICICI notes; Kotak Neo (14-Aug-26); ICRA via Autocar Pro. We have no sourced competitor financials, so margin comparisons with Tata, Mahindra or Hyundai are not attempted.

Strengths. Distribution reach (4,600+ outlets), cost position, 49–55% share of India's PV exports, CNG leadership (CNG was 40% of Q1 FY27 sales per Quartr, "healthy and higher than in the past" per the Q2 FY26 call), first-time buyers at 51% of Q4 FY26 sales, and a debt-free balance sheet. **Vulnerabilities.** Slower SUV share gains than rivals (Kotak Neo), dependence on entry cars whose demand is policy-sensitive, margin exposure to commodities (platinum, palladium, rhodium, aluminium, copper; steel cannot be hedged per the Q3 call) and the volume of capital now committed.

5. Regulation and legal matters

Matter	Status (source)	Company position / our view
GST 2.0 (22-Sep-25)	Small cars 18%, larger cars 40% (no cess), EVs 5%, auto parts a single 18% rate (CarDekho)	Largest demand driver of FY26–27; reversal is not on the table in our sources. Part of the Q1–Q2 FY27 surge is catch-up; management flagged pulled-forward demand
CAFE-III (fuel efficiency)	Notified 30-Sep-26, effective 1-Apr-27 to 31-Mar-32; benchmark tightens from 3.996 to 3.3273 L/100 km (~16.7%); reference weight raised from 1,082 to 1,229 kg; the draft's 3 g/km small-car deduction (≤909 kg, ≤1,200 cc, ≤4 m) dropped; credits for EVs, hybrids, flex-fuel and a carbon-neutrality factor for ethanol, biofuel and CBG (Deccan Chronicle)	Maruti called the draft "unscientific" for small cars (Dec-25); the final curve is weight-sensitive and Deccan Chronicle says Maruti is expected to gain the most. Management says its models are ~20% more efficient than comparable peers. No penalty numbers are in our sources
End-of-Life Vehicles Rules 2025	In force (company disclosure)	Maruti says it cannot reliably estimate its obligations (Q1 FY27 summary). We carry no cost in our model: an unquantified risk
Labour Codes (21-Nov-25)	Enforced	One-time provision ₹594 cr (₹5,939 mn) in Q3 FY26, ~125 bps of margin; "no significant recurring impact" (CFO, Q3 FY26 call)
E20 fuel	Company says all current products are E20-compatible (CEO, AGM)	Flex-fuel volumes "minimal for 5–10 years" (Q4 FY26 call)
Steel safeguard duty	Does not cover Maruti's imports but may be used by steel makers to raise prices (Q3 FY26 call)	Management plans to engage steel producers
Trade	EU/UK FTA opening limited to values above ~€15,000; South Africa duty talk "only media coverage" (Q3 FY26 call)	No quantified exposure

Matter	Status (source)	Company position / our view
CCI (legacy)	₹471.14 cr (₹4,711.4 mn) penalty imposed in 2014 is disclosed in the BRSR FY25 anti-competition section; current status not stated in our excerpt	FY25 BRSR reports nil monetary penalties in FY25

We rely on press and company statements; the notified CAFE-III text, the GST notifications and the ELV Rules were not read in full.

5.1 What CAFE-III means in practice

The notified standard replaces a three-way fight (draft concessions for small cars, SIAM members unable to agree, SIAM's president, who also heads Tata Motors Passenger Vehicles, calling weight-based relief "arbitrary" in December 2025) with a weight-sensitive curve. Two facts matter for Maruti's model. First, the benchmark tightens by about 16.7% over five years, which has to be met through hybrid and strong-hybrid powertrains, CNG, EVs and fuel-saving technology; Maruti's ₹77,500 cr capex plan and its hybrid and e-Vitara programmes are the financial counterpart, though our sources do not split capex by technology. Second, the removal of a separate small-car deduction removes the argument management made in December that "some cars may have to leave the market": the curve instead raises the reference weight, giving lighter vehicles more relief than in the draft. We treat CAFE-III as a modest net positive for Maruti's relative position and a neutral-to-negative for absolute margins (more technology content), and we do not add a cost line for it.

6. Annual report analysis (FY24, FY25, FY26)

We analyse three annual-report cycles. The FY24 integrated annual report was retrieved as a PDF excerpt (several note sections were truncated). For FY25 we use the Business Responsibility and Sustainability Report (BRSR 2025) filed with the exchanges and the FY25 results documents. For FY26 we use the company's results press release, the notice of the 45th AGM, and Reuters and Upstox coverage of the annual report and the 31 August 2026 AGM. Items that sit in notes we could not read (royalty, related parties, contingent liabilities, key audit matters) are flagged as unavailable.

6.1 Three-year comparison

	FY24	FY25	FY26	Source
Total volume (units)	2,135,323	2,234,266	2,422,713	AR FY24; company
Domestic / exports (units)	1,852,256 / 283,067	1,901,681 / 332,585	1,974,939 / 447,774	AR FY24; company
Net sales (₹ cr, standalone)	1,34,938	1,45,098	1,74,370	AR FY24; Q4 FY26 presentation
PAT (₹ cr, standalone)	13,209	14,298	14,445	AR FY24; presentation
Operating EBIT margin	9.9% (FY23: 7.3%)	10.0%	8.4%	AR FY24; presentation
Operating EBITDA margin	not in excerpt	13.9%	12.3%	presentation
EPS (₹)	431 (AR)	455	459	AR FY24; ICICI (standalone)
Dividend per share (₹)	125	135	140	AR FY24; press release
Return on equity	18.3% (AR); 15.7% (ICICI RoNW)	15.1% (ICICI)	14.2% (ICICI)	different definitions
Net worth (₹ cr)	83,982	94,047 (BRSR)	–	AR FY24; BRSR FY25
Capacity (million units)	~2.35 (incl. SMG 0.75)	–	~2.65 before the Jul-26 additions; ~2.9 from Jul-26	AR FY24; SAHI
Exports share of India PV exports	~42%	–	49%	AR FY24; press release

Standalone figures. The FY24 annual report's EPS of ₹431 and ICICI's ₹420.1 differ in basis (consolidated vs standalone and SMG treatment); we show both. FY26 EBIT margin 8.4% = ₹14,710 cr ÷ ₹1,74,370 cr.

6.2 FY24 annual report: the "best year" baseline

The FY24 report records the then-best year: total sales of 2,135,323 units, net sales ₹1,34,938 cr (FY23: ₹1,12,501 cr), PAT ₹13,209 cr (FY23: ₹8,049 cr), operating EBIT margin 9.9% (7.3%), ROE 18.3% (14.1%), operating cash flow ₹15,167 cr, dividend ₹125 (₹90) and book value per share ₹2,671. It states capacity at about 2.35 million units including 0.75 million from SMG, reports the Manesar 100,000-unit expansion as commissioned, the first 250,000-unit line at Kharkhoda as due within the year, a fourth 250,000-unit SMG line announced, and a target of 4 million units a year by FY2030-31. Exports were 283,067 units (FY23: 259,333) to nearly 100 countries,

and the Chairman set an export target of 300,000 cars for the following year (actual FY25: 332,585).

People and R&D.; 18,228 regular employees (1,998 joined in the year), employee benefit expense ₹5,478 cr (FY23 ₹4,605 cr), voluntary attrition 2.6% (4.3%), R&D; spend ₹913.5 cr (₹765.0 cr) with 2,487 R&D; engineers, 133 patents filed and 424 granted; CSR spend ₹110.4 cr (FY23 ₹63.2 cr), against a required ₹91.68 cr. About 46% of sales came from rural areas, and the Chairman expected about 600,000 CNG cars to be sold in the following year. Solar capacity was 48 MWp with a further 30 MWp in progress; a pilot biogas plant at Manesar started in June 2024. Deloitte Haskins & Sells provided independent assurance on the financial information and DNV verified some non-financial disclosures including BRSR.

What the excerpt did not give us. Royalty paid to Suzuki Motor Corporation, related-party transactions, contingent liabilities, auditors' key audit matters and a capex figure were not in the excerpt retrieved. We therefore do not analyse them. A reviewer with the full PDF should read the standalone financial statements notes (the report's standalone statements begin around page 290 and the consolidated statements around page 370).

6.3 FY25: BRSR 2025 data

Metric (FY25, BRSR 2025)	Value
Permanent employees / workers	14,280 / 5,686
Other-than-permanent employees / workers	1,621 / 24,358 (total employees and workers 45,945)
Women among permanent employees	1,001 (7.0%)
Permanent employee turnover	3.99% (FY24: 4.51%)
LTIFR (employees / workers)	0.014 / 0; no fatalities; 1 and 8 recordable injuries
Board	11 members, 3 women (27.27%)
R&D; + capex; environmental/social share	₹8,369 cr; ₹2,000 cr (23.90%)
Accounts payable days	53
Exports share of turnover	14.99%
Energy consumed; renewable share	5,410,978 GJ; 6.59% (about 16% of electricity from renewables; solar 78.2 MWp)
Scope 1 / Scope 2 emissions	225,537 / 215,368 tCO2e (FY24: 212,545 / 202,067)
Scope 3 category 11 (use of sold products)	31,478,952 tCO2e
Water withdrawal	2,128,699 kL, all third-party; Gurugram 1,901,943 kL (water-stressed)
Waste generated / landfilled	188,768 MT / zero; 155,244 MT recycled
Tier-1 suppliers under green procurement	100%
Dealers and distributors	486; 75.46% of sales
Customer complaints filed / pending	21,822 / 750
Monetary penalties FY25	Nil; legacy 2014 CCI penalty of ₹471.14 cr disclosed

Source: BRSR 2025 filed with NSE (5-Aug-25), extract. The source labelled turnover "₹1,519,001 million (in K)", a labelling error; we do not use it. Intensities per vehicle (0.34 tCO2e; 1.63 kL) imply a vehicle base of about 1.3 million, which suggests the BRSR covers the company's own plants excluding SMG output (our inference).

Observations. (1) Scope 1 and 2 emissions rose about 6% in FY25 while volumes rose 4.6%; (2) renewables are 6.59% of energy but about 16% of electricity, so the push to 211.3 MW of solar by FY31 (35% of electricity needs, AGM) is a real change; (3) about 53% of the "total" workforce of 45,945 is other-than-permanent workers (24,358), which matters for the Labour Codes provision of ₹594 cr booked in Q3 FY26; (4) accounts payable of 53 days and exports at 15% of FY25 turnover are the two working-capital facts the BRSR gives; we do not model working-capital changes (Section 11).

6.4 FY26: results, annual report and AGM

Results: total volume 2,422,713 (+8.4%); domestic 1,974,939 (+3.9%); exports 447,774 (+34.6%); net sales ₹1,74,370 cr (+20.2%); PAT ₹14,445 cr (+1.0%), an all-time high; dividend ₹140 a share (record), total ₹44,016 mn (about ₹4,402 cr) or 30.5% of standalone PAT. Standalone EBITDA margin fell to 12.3% from 13.9% and EBIT margin to 8.4% from 10.0% as material cost rose to 75.9% of sales (+210 bps), partly offset by other expenses (−110 bps). Non-operating income fell to 2.5% of sales from 3.5%, on treasury mark-to-market. The EBITDA/PAT divergence is the point: EBITDA grew 6.5% while PBT fell 2.8%.

Annual report and AGM (31 August 2026). The company said it expects to reach its next million-unit sales milestone earlier than projected; will invest about ₹35,000 cr to raise annual capacity to 3.65 million vehicles by FY31; added 500,000 units of capacity in FY27; approved an initial ₹561 cr (₹5.61 billion) for four compressed

biogas plants; and prioritises localisation, alternate sourcing and supplier capability to manage geopolitical and supply-chain risk (Reuters). The CEO said capex would rise 40% to about ₹14,000 cr this year, with cumulative capex of ₹77,500 cr over FY27–31; that in-house solar capacity will rise from 79.1 MW (FY26) to 211.3 MW by 2030-31; and that biomass plants will be set up at Manesar, Kharkhoda and Sanand (Upstox).

Reading across the three reports. FY24 set the targets (4M capacity, export leadership, CNG); FY25 shows the cost of staying ahead on environment and people metrics; FY26 shows the first year in which the investment plan's scale (₹77,500 cr over five years, about ₹15,500 cr a year against roughly ₹10,000 cr in FY26 per Upstox) becomes explicit. Revenue grew 29% in two years (FY24–FY26 net sales ₹1,34,938 cr to ₹1,74,370 cr) while PAT grew only 9%: that is the central fact of the analysis.

7. Earnings-call analysis

We read four calls in chronological order. For Q2 FY26 (31 October 2025), Q3 FY26 (28 January 2026) and Q4 FY26 (28 April 2026) we worked from transcript text; the Q2 transcript was cut off mid-Q&A; and some Q3/Q4 passages are marked inaudible or garbled. The Q1 FY27 call (31 July 2026) is analysed through the ICICI Securities and Arihant Capital call notes and a Quartr summary because we could not open the transcript PDF. We quote only from transcript text we read or from notes that attribute the quote.

7.1 Q2 FY26 call (31 October 2025): the GST reset

Prepared remarks. Total sales were 550,874 units: domestic 440,387 (−5.1% YoY) and exports 110,487 (+42.2%). Domestic wholesales slowed from mid-August to 22 September as buyers waited for the GST cut. Net sales were ₹40,130 cr against ₹35,580 cr; net profit ₹3,290 cr against ₹3,060 cr; EBIT margin 8.5% against 8.3% in Q1. Quarter on quarter, volume rose 4.4% and net sales 9.6% on favourable mix. Export share of India PV exports was about 45.4%. Rahul Bharti: "the buoyancy of GST reduction will reflect in the future quarters."

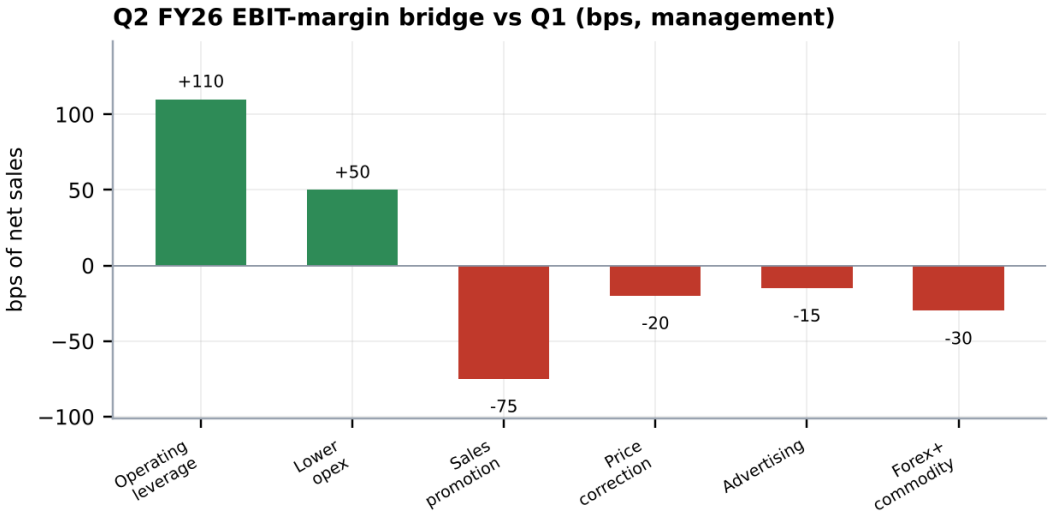


Figure 8: Q2 FY26 EBIT-margin bridge versus Q1 (bps). Source: Q2 FY26 call transcript (hedging gain of about 20 bps booked in non-operating income is excluded).

Q&A. Festive retail was projected at about 400,000 units against 211,000 a year earlier, with small cars about 250,000 growing nearly 100%; bookings about 500,000 since 22 September; October retail up about 20%, with 18%-bracket cars up about 30% and 40%-bracket cars 4–5%. Inventory was about 38 days at end-September and expected to be much lower by end-October; three Sundays had been worked. Sustainable industry growth: "preliminary estimate of about 6%", to be reassessed in January–February. The 50% share and 10% EBIT margin were described as Suzuki Motor's mid-term targets for FY2030-31; Rahul Bharti: "this 10% EBIT margin we have also adopted as a guiding light." Arnab Roy declined to isolate a single margin driver: "One factor alone will not give you the 100% correlation here." Tariffs and SMG were not discussed in the text we read.

Our takeaway. The call's message was supply: the GST benefit would show up in later quarters. That has been borne out in volume (Q3 667,769; Q4 676,209; Q1 FY27 682,724). What the call did not foresee was the commodity cycle; management's margin bridge shows only −30 bps from forex and commodities combined in Q2, against −80 bps in Q4 and about −300 bps in Q1 FY27.

7.2 Q3 FY26 call (28 January 2026): record retail, labour-code hit

Prepared remarks (Rahul Bharti). The PV industry grew 20.5% in Q3 after a 0.4% decline in H1; Maruti's domestic volume grew 22% in Q3 versus a 5.8% decline in H1. Retail sales hit a record of about 684,000 units. Network inventory ended at 3–4 days with an order book of about 175,000. "We clocked our highest-ever retail sales of about 684,000 units in quarter 3"; "at present, we are constrained by supplies." Q3 net sales were about ₹47,500 cr; net profit about ₹3,800 cr; EBIT margin 8.1% (8.4% in Q2). A one-time Labour Codes provision of ₹594 cr (₹5,939 mn) was booked. Nine-month volume 1,746,504 (domestic 1,435,945; exports 310,559).

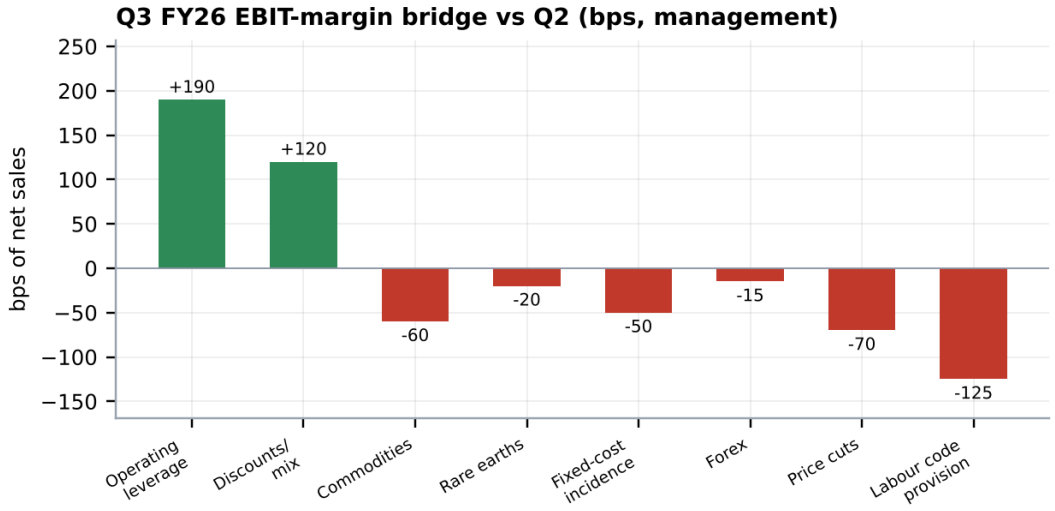


Figure 9: Q3 FY26 EBIT-margin bridge (bps) as stated by management. Operating leverage +190 and discounts/mix +120 offset commodities −60, rare earths −20, fixed-cost incidence −50, forex −15, price cuts −70 and the labour-code provision −125.

Q&A highlights. *Commodities* (Gunjan Prithyani, Rishi Vora): pressure from platinum, palladium and rhodium (PGM about 2% of car net sales), aluminium and copper; steel cannot be hedged; prices negotiated quarterly; calibrated hedges only when trends are predictable; the rare-earth impact (about 20 bps) came from importing sub-assemblies and air freight and is "not a long term problem". *Demand*: Q3 included pulled-forward and postponed demand; "the query remains in our mind, what is the sustainable level of demand after the euphoria is over." *Exports*: Q3 export revenue about ₹8,200 cr; one shipment missed for logistics; FY26 export guidance of about 400,000 on track (actual 447,774); 13,000+ e-Vitara units shipped to 29 countries by December; Jimny 5-door passed 100,000 exports. *Pricing*: the usual start-of-year price hike was skipped; Bharti said a hike right after a tax cut would not be ethical; a 70 bps price cut on some models ran to end-January. *Margin guidance*: the CFO said the company does not give forward-looking margin guidance and pointed to operating leverage, discounts and mix as levers. *Capex* (Pramod Amthe): FY26 run-rate about ₹12,000 cr including Gujarat, longer-term about ₹10,000 cr a year; FY27 budget in March; "there is no dearth of funds."

Our takeaway. Three statements aged quickly. The "longer-term about ₹10,000 cr a year" capex run-rate became ₹14,000 cr for FY27 and ₹77,500 cr over five years (about ₹15,500 cr a year). The 3–4 days of inventory proved a ceiling on volume. And the call's own warning on demand sustainability is why we assume volume growth slows after H1 FY27.

7.3 Q4 FY26 call (28 April 2026): war, treasury and the FY27 outlook

Prepared remarks (Rahul Bharti and Arnab Roy). Q4 volume was a record 676,209 (+11.8%): domestic 538,994, exports 137,215. Net sales about ₹50,100 cr (against about ₹38,900 cr); EBIT above ₹4,400 cr (+30.4%), margin 8.8% (8.1% in Q3); net profit down 6.9% to about ₹3,600 cr on a mark-to-market loss on treasury bonds of about 46 bps or roughly ₹750 cr (about ₹1,075 cr versus the prior year); the CFO said about 35% had reversed by the previous day. FY26: record 2,422,713 units; net sales above ₹1.74 lakh cr (+20.2%); record dividend ₹140. About 190,000 unserved orders at year-end (about 130,000 small cars in the 18% bracket), dealer inventory about 12 days. First-time buyers were 51% of Q4 sales against 48% in Q3 and about 42% in H1; Q4 domestic retail about 468,000 (+12.9%).

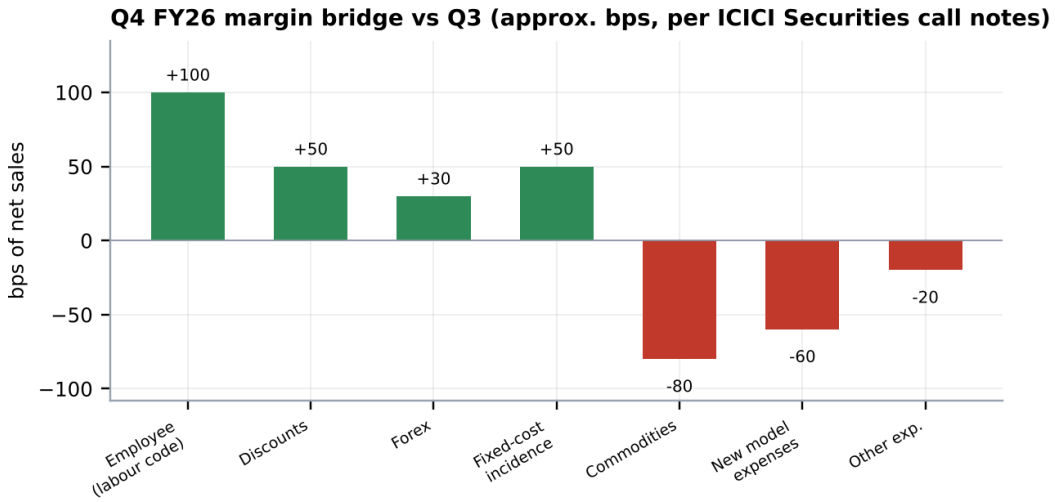


Figure 10: Q4 FY26 margin bridge versus Q3 (approximate bps, per ICICI Securities' notes on the call). Tailwinds: employee cost (labour-code provision in Q3) about +100, discounts +50, forex +30, fixed-cost incidence +50. Headwinds: commodities −80, new-model expenses −60, other expenses −20.

Guidance and outlook. "The broad expectation that our chairman also conveyed is about 10% growth in this year" (Rahul Bharti, domestic volumes). No margin guidance; Q4 EBIT of 8.8% matched the Bloomberg consensus. Kharkhoda Phase II commissioned in April 2026 with modest start-up cost expected; Hansalpur Line 4 within FY27 (each adds about 250,000 units); e-Vitara supply constrained until the Gujarat line from July; capex about ₹14,000 cr for FY27; medium-term capacity target 4 million. Management said Maruti models are about 20% more efficient than peers on CAFE; flex-fuel volumes minimal for 5–10 years; ASP headroom especially as EVs grow in the mix; and that commodity and energy pressure is "part of regular business". Treasury credit quality: over 99.5% in AAA-rated securities. On exports, Bharti declined to forecast: "If you can help me predict the war, I can predict the exports number."

Our takeaway. The Q4 call is the cleanest evidence that the margin hit in Q1 FY27 was visible but not quantified: commodities were −80 bps and new-model expenses −60 bps in Q4, and management used the phrase "subject to these headwinds of the war" when asked about margin confidence. Arthneeti's summary describes near-term margin guidance as cautious because of the Middle East conflict and commodities and records a long-term EBIT-margin target of about 10% by 2030; ICICI's notes say an analyst's reference to that target was not confirmed by management on this call, a discrepancy we flag (Appendix F).

7.4 Q1 FY27 call (31 July 2026): through broker notes

Figures. Volume 682,724 (+29.3%); standalone net sales ₹49,959 cr (+36.4%); EBITDA ₹4,311 cr (−6.7%), margin 8.6% (company) or 8.2% (ICICI basis); PAT ₹3,352 cr (−10.8%); other income ₹1,874 cr (ICICI). Consolidated profit ₹3,447 cr (−9.1%) on revenue ₹52,470 cr (+35.9%). EBIT margin 5.1%. CNG was 40% of sales and export revenue about ₹11,500 cr (Quartr). Domestic share 41.2%. Network inventory ~13 days; order book ~130,000.

Management commentary (as reported). Management described FY27 demand as supply-constrained rather than demand-constrained and kept volume growth guidance at about 10% with possible upside if new plants ramp faster (Arihant). Kharkhoda Phase 2 (May 2026 per Arihant; April per the Q4 call) and Hansalpur Line 4 (July) add about 500,000 units to a total of about 2.9 million units; both expected to reach optimal utilisation in four to five months. Hansalpur Line 4 capex is about ₹3,900 cr and it is mainly an EV line. The new Brezza has about 2,000 bookings a day; upcoming launches include refreshed Fronx and Baleno, a micro SUV and a new MPV; the company plans about 28 models by FY30 including seven new SUVs. **Margin:** about 300 bps of adverse impact in Q1, of which about 110 bps from a temporary move from quarterly to monthly settlement for aluminium, plastics and rubber; recovery levers are reverting to quarterly settlements, lower raw-material costs and price increases (50 bps in June plus another in August); benefits expected from Q2 and Q3; margin expected to reach about 12% by FY28E (Arihant's summary). The company said it cannot reliably estimate obligations under the End-of-Life Vehicles Rules 2025.

Our takeaway. The Q1 call shifts the margin debate from "is it temporary?" to "how much is temporary?". Of the roughly 400 bps fall in EBITDA margin year on year, management attributes about 300 bps to adverse items, of

which 110 bps are a settlement-timing issue that it can reverse. That leaves about 190 bps (our arithmetic: 300 less 110) of pressure from commodities and forex that has to be recovered through price, not timing. We therefore model FY27E EBITDA margin at 10.0% (Q1 8.6%, then a recovery), FY28E at 11.3% and FY29E at 12.0%, a path slightly slower than management's "about 12% by FY28E".

7.5 Guidance tracker across the four calls

Topic	Q2 FY26 (Oct-25)	Q3 FY26 (Jan-26)	Q4 FY26 (Apr-26)	Q1 FY27 (Jul-26, notes)
Volume growth	~6% sustainable industry growth (preliminary)	~7% initial figure floated; to reassess in three months	Maruti domestic ~10% in FY27 (Chairman)	~10% kept; upside if plants ramp faster
Exports	>400,000 in FY26	~400,000 on track	No FY27 number; geopolitics	+28.6% YoY in Q1; >55% share
Capacity	Kharkhoda driving depreciation	Kharkhoda 2 by Apr-26; Gujarat D-line soon; +250k each	Kharkhoda 2 commissioned; Line 4 within FY27	~2.9M units; 4–5 months to ramp
Capex	–	~₹12,000 cr FY26; ~₹10,000 cr/yr longer term	~₹14,000 cr FY27	₹14,000 cr FY27; ₹77,500 cr FY27–31 (AGM)
Margin	10% EBIT "guiding light"	No forward margin guidance (CFO)	No formal guidance; war headwinds	~12% EBITDA by FY28E; recovery from Q2/Q3
Pricing	No outlook given	Jan hike skipped; 70 bps cut to end-Jan	ASP headroom	+50 bps June; another in August
Commodities	−30 bps (forex+commodity)	−60 bps commodities; −20 bps rare earths	−80 bps	Main driver of ~300 bps hit; settlement shift ~110 bps

Sources: transcripts (Q2–Q4 FY26); ICICI Securities and Arihant Capital notes (Q1 FY27). "~7%" and "6%" are management remarks about sustainable industry growth, not Maruti-specific guidance.

7.6 Questions we would put to management

- How much of the Q1 FY27 margin gap was price-related versus timing? What price increase in total has been taken since June, and what share has been absorbed by dealer discounts?
- Hansalpur Line 4 is an EV line: what utilisation and EV mix are assumed in the ₹14,000 cr FY27 capex plan, and what depreciation step-up does it imply for FY28?
- At what volume does the company expect to be demand-constrained again? How does the order book (about 130,000) compare with weekly retail?
- How will the ELV Rules 2025 be funded and what is the working estimate of the cost?
- Treasury: how large is the investment portfolio's duration, given the ~₹750 cr mark-to-market loss in Q4 FY26 when yields rose about 50 bps?
- With ₹59,001 cr of cash and investments, a 30% dividend payout and a ₹77,500 cr capex plan, what is the intended capital-allocation order of priority?

These questions are our own, not taken from any transcript.

8. Financial analysis

8.1 Eleven years of consolidated results

₹ crore	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales	68,085	79,809	86,068	75,660	70,372	88,330	118,410	141,858	152,913	183,316
Operating profit	10,421	12,118	11,056	7,355	5,411	5,752	13,122	18,626	20,224	21,530
Other income	2,399	2,155	2,664	3,410	3,046	1,861	2,415	4,248	5,199	4,569
Depreciation	2,604	2,760	3,021	3,528	3,034	2,789	4,846	5,256	5,608	6,742
Profit before tax	10,127	11,167	10,624	7,103	5,321	4,697	10,438	17,424	19,620	19,118
Net profit	7,511	7,881	7,651	5,678	4,389	3,880	8,264	13,488	14,500	14,680
Operating margin	15.3%	15.2%	12.8%	9.7%	7.7%	6.5%	11.1%	13.1%	13.2%	11.7%
Net margin	11.0%	9.9%	8.9%	7.5%	6.2%	4.4%	7.0%	9.5%	9.5%	8.0%
EPS (₹)	249	261	253	188	145	128	274	429	461	467
Dividend payout	30%	31%	32%	32%	31%	47%	34%	29%	29%	30%

Source: Screener, consolidated (16-Oct-26). Screener's "operating profit" is sales less operating expenses and differs slightly from the company's standalone "operating EBITDA" (FY26: ₹21,530 cr consolidated vs ₹21,450 cr standalone). FY18 EPS is shown as ₹261 (Screener ₹260.86).

What the long history says. Sales rose from ₹50,801 cr in FY15 to ₹1,83,316 cr in FY26, a compound rate of 12.4% a year; consolidated net profit rose from ₹3,809 cr to ₹14,680 cr (13.0% a year). The operating margin (11.7% in FY26) is below its FY15–FY18 range of 14–16% and above the FY22 trough (6.5%). The margin trough of FY21–FY22 (semiconductor shortage and commodity inflation, which we describe from the figures only) took EPS down to ₹128 in FY22; the recovery to ₹467 in FY26 is a 3.6x increase in four years. The FY26 profit growth of 1.2% on a 20% sales increase echoes FY22, when sales rose 25.5% and net profit fell 11.6%.

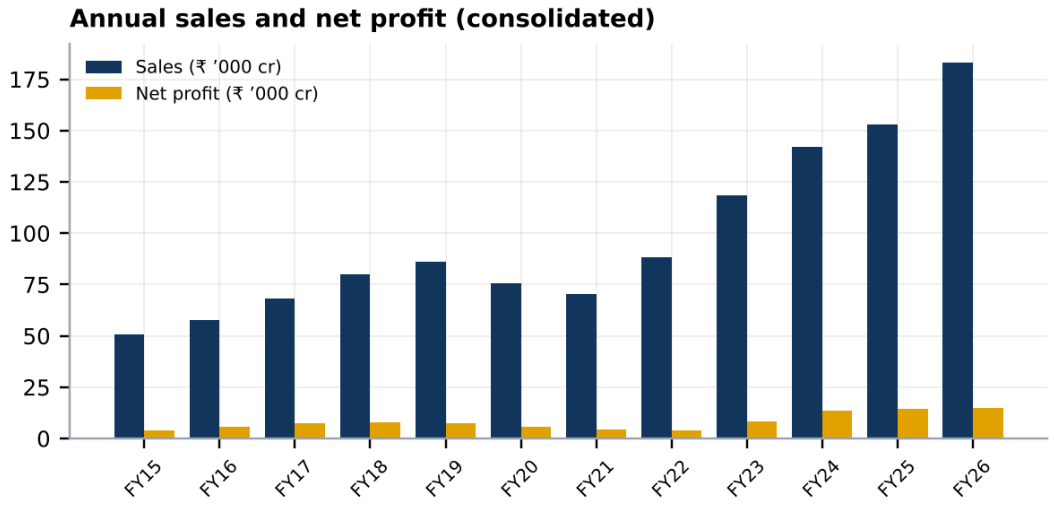


Figure 11: Annual sales and net profit, FY15–FY26 (₹ '000 cr). Source: Screener consolidated.

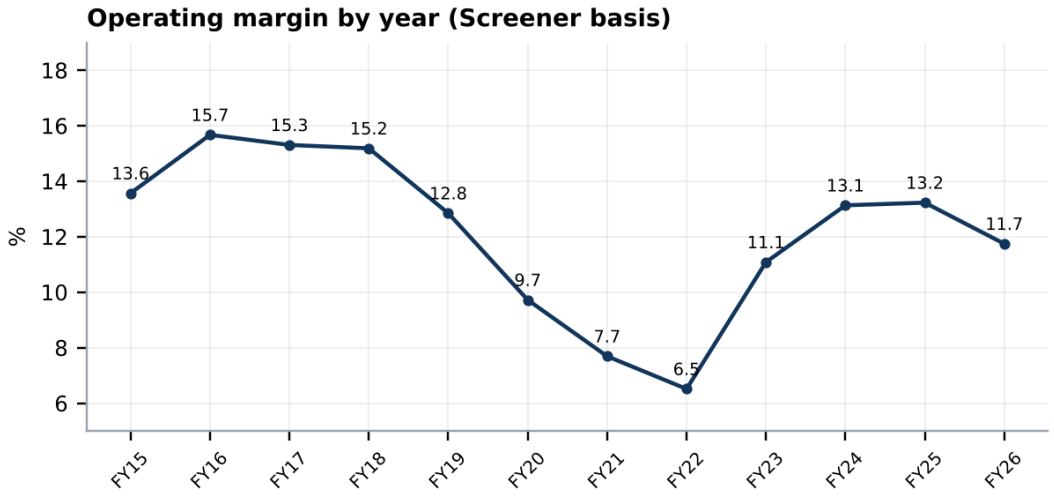


Figure 12: Operating margin by year (Screener basis). FY22 trough 6.5%; FY25 peak 13.2%; FY26 11.7%.

8.2 Quarterly trend

₹ crore	Jun-24	Sep-24	Dec-24	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26
Sales	35,779	37,449	38,764	40,920	38,605	42,344	49,904	52,462	52,470
Operating profit	5,107	4,999	5,076	4,844	4,623	5,086	5,573	6,158	4,313
OPM	14.3%	13.3%	13.1%	11.8%	12.0%	12.0%	11.2%	11.7%	8.2%
Other income	1,118	1,570	1,125	1,583	1,924	1,014	1,140	581	1,972
Net profit	3,760	3,102	3,727	3,911	3,792	3,349	3,879	3,659	3,447
EPS (₹)	119.6	98.7	118.5	124.4	120.6	106.5	123.4	116.4	109.6

Source: Screener, consolidated. The Sep-24 quarter had a 40% tax rate (Screener), depressing PAT.

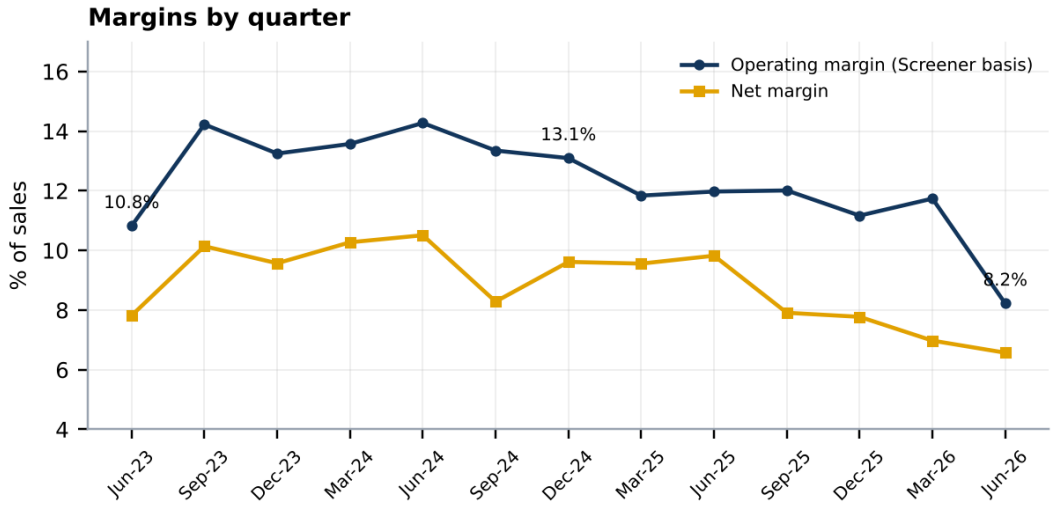


Figure 13: Quarterly operating and net margin, Jun-23 to Jun-26 (Screener basis, consolidated).

Two patterns stand out. Sequential sales moved from ₹38,605 cr (Jun-25) to ₹52,470 cr (Jun-26), up 36%, but operating profit fell from ₹4,623 cr to ₹4,313 cr. And other income is now a large share of profit: in Q1 FY27 it was ₹1,972 cr, 44% of PBT (₹4,441 cr), against 24% for the whole of FY26. That is why we value the cash separately and exclude other income from free cash flow (Section 11).

8.3 Cost structure and margin bridge

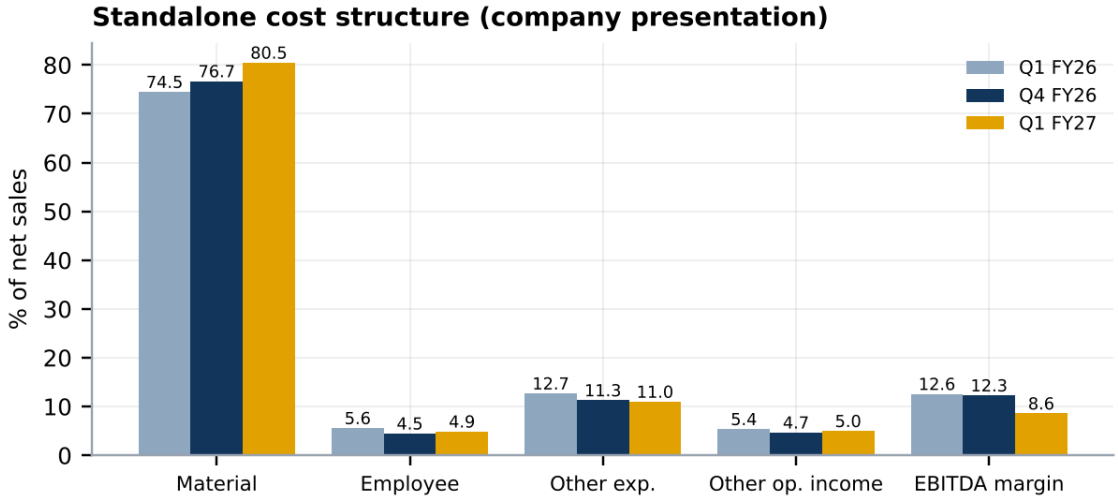


Figure 14: Standalone cost structure as a share of net sales: Q1 FY26, Q4 FY26, Q1 FY27. Source: company investor presentations.

% of net sales	Q1 FY26	Q4 FY26	Q1 FY27	Δ YoY (bps)	Δ QoQ (bps)
Material cost	74.5	76.7	80.5	+600	+380
Employee cost	5.6	4.5	4.9	−70	+40
Other expenses	12.7	11.3	11.0	−170	−30
Other operating income	5.4	4.7	5.0	−40	+30
Operating EBITDA	12.6	12.3	8.6	−400	−370
Depreciation	4.2	3.5	3.6	−60	+10
Operating EBIT	8.4	8.8	5.1	−330	−370
Non-operating income	5.1	1.0	3.7	−140	+270
PBT	13.4	9.7	8.7	−470	−100
PAT	10.3	7.2	6.7	−360	−50

Source: Q1 FY27 investor presentation (standalone, restated for SMG). Management's qualitative drivers for Q1 FY27 vs Q4 FY26: adverse commodity prices (West Asia conflict) and forex; unfavourable fixed-cost incidence on inventory depletion; higher employee expense (seasonality); higher depreciation (Kharkhoda); partly offset by higher operating and non-operating income.

The table shows the key asymmetry: material cost explains more than the entire fall in EBITDA margin (600 bps against 400 bps), while other lines improved by 200 bps. If the supplier-settlement effect (about 110 bps) reverses and the price increases stick, the largest part of the recovery is therefore on one line. Operating

leverage at higher volumes is already helping (employee, other expenses), so our FY28E margin recovery of 130 bps over FY27E leans on materials rather than on further fixed-cost absorption.

8.4 Balance sheet and cash flow

₹ crore (consolidated)	Mar-22	Mar-23	Mar-24	Mar-25	Mar-26
Equity capital	151	157	157	157	157
Reserves	55,182	74,443	85,479	96,083	1,06,999
Borrowings	426	1,248	119	87	102
Fixed assets	13,747	27,941	27,865	32,983	34,523
Investments	42,035	49,184	57,296	66,265	76,838
Total assets	74,656	1,00,106	1,15,304	1,31,016	1,48,880
Investments ÷ total assets	56.3%	49.1%	49.7%	50.6%	51.6%
Book value per share (₹) (derived)	1,832	2,376	2,727	3,065	3,413

Source: Screener. Net worth = equity capital + reserves; BVPS = (equity capital + reserves) ÷ (equity capital ÷ ₹5 face value) in each year (30.2 cr shares in FY22, about 31.4 cr thereafter). Fixed assets jumped in FY23 (₹13,747 cr to ₹27,941 cr) when the SMG-related assets entered the consolidated accounts.

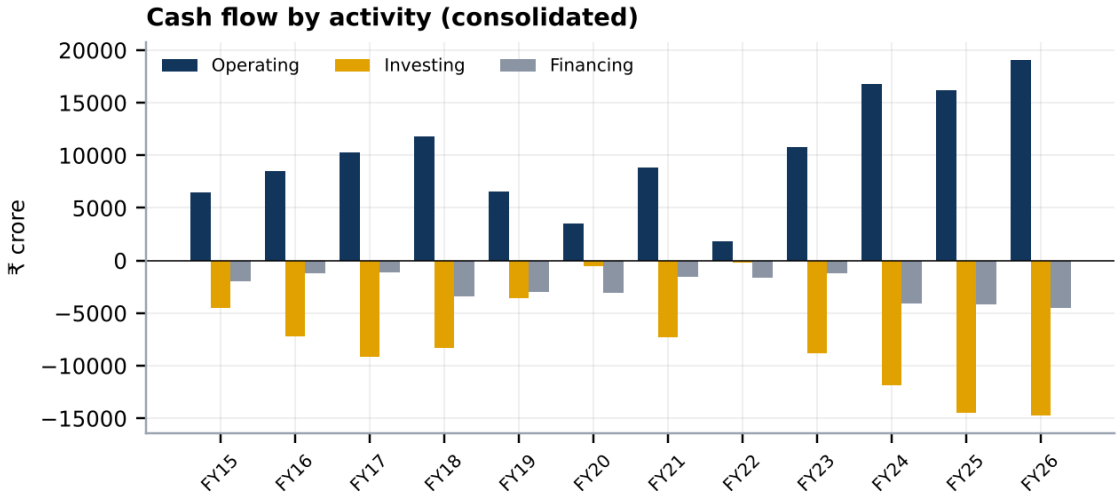


Figure 15: Cash flow by activity, FY15–FY26 (₹ cr, consolidated). Investing flows include purchases of treasury investments, not just plant capex. Source: Screener.

Operating cash flow was ₹19,100 cr in FY26 (FY25: ₹16,180 cr; FY24: ₹16,801 cr), against investing outflows of ₹14,734 cr and financing outflows (mainly dividends) of ₹4,484 cr: the company funds capex and dividends from operations and still adds to its investment book. Cumulative operating cash flow over FY24–FY26 was ₹52,081 cr against cumulative financing outflows (mostly dividends) of ₹12,701 cr. The capex plan of ₹14,000 cr in FY27 is about 73% of FY26 operating cash flow, so internally generated cash still covers it; ₹77,500 cr over five years is about 4.1x FY26 operating cash flow, so the cash pile will also be drawn upon unless volumes and margins rise.

8.4a Treasury income and mark-to-market

Maruti's consolidated investments were ₹76,838 cr at March 2026 (51.6% of total assets), generating other income of ₹4,569 cr in FY26 and ₹1,972 cr in Q1 FY27 (Screener). Quarterly other income in consolidated accounts moved from ₹1,583 cr (Mar-25) to ₹581 cr (Mar-26) and back to ₹1,972 cr (Jun-26): a ₹1,391 cr rise between Mar-26 and Jun-26, reflecting the mark-to-market loss of about ₹750 cr in Q4 FY26 when bond yields rose about 50 bps and its partial reversal (the CFO said about 35% had reversed by 27 April). Treasury quality is high (over 99.5% in AAA-rated securities, Q4 call). The practical consequence is that reported EPS has a bond-market component of roughly ₹15–25 a share a quarter in either direction, which is one reason we value cash separately in the DCF and use EBITDA-based drivers.

8.4b Dividend history

	FY22	FY23	FY24	FY25	FY26
Dividend payout (Screener)	47%	34%	29%	29%	30%
Dividend per share (₹)	–	90	125	135	140
Yield at ₹11,489 (FY26 DPS ₹140)	–	–	–	–	1.2%

	FY22	FY23	FY24	FY25	FY26
EPS (₹, consolidated)	128	274	429	461	467

Sources: Screener; annual report FY24 (₹125, FY23 ₹90); press release FY26 (₹140, FY25 ₹135). '–' = not retrieved. FY26 total dividend ₹44,016 mn (about ₹4,402 cr).

8.5 Returns and capital allocation

Screener shows ROE of 14.3% and ROCE of 18.9%. ICICI Securities' RoIC (which excludes the cash and investments) was 49.4% in FY24, 33.9% in FY25 and 36.7% in FY26 and its estimate for FY27E is 25–30% as capex and depreciation rise. The reported ROE fell from 18.3% (FY24 annual report) to 14.2% (ICICI, FY26) as the equity base grew faster than profit; half of the balance sheet is investments earning treasury yields, so reported ROE is mechanically lower than the operating business's return. The dividend was ₹140 a share in FY26, a 30.5% payout; Screener shows payouts of 29–34% in FY23–FY26 other than the FY22 outlier of 47%.

9. Unit economics and segment analysis

9.1 Per-vehicle arithmetic

Per vehicle (₹ lakh)	Q1 FY26	Q4 FY26	Q1 FY27	Basis
Volume (units)	527,861	676,209	682,724	ICICI; company
ASP (net sales ÷ units)	6.94	7.41	7.32	ICICI table
Raw material cost per unit	5.18	5.69	5.91	ICICI raw-material expense ÷ units (derived)
ASP less raw material	1.76	1.72	1.41	derived
Raw material as % of ASP	74.7%	76.8%	80.7%	derived; ICICI basis (differs from company 74.5/76.7/80.5%)

ICICI's raw-material expense is defined on total operating income (net sales plus other operating income), so its percentage differs from the company's material-cost ratio on net sales. We show both and use the direction, not the absolute level.

ASP rose 5.5% over Q1 FY26 while raw-material cost per unit rose 14.0%: the spread per vehicle between ASP and raw material fell from about ₹1.76 lakh to ₹1.41 lakh. Every ₹10,000 of realised price is about 1.4% of ASP, so the three price increases announced (50 bps in June, one in August and up to ₹20,000 on select models in September) are directionally enough to close a large part of the 600 bps gap if volumes do not fall. We do not know how much of each increase was realised after discounts (Appendix F).

ICICI's annual estimates show the same picture: raw material cost per unit of ₹4.83 lakh in FY25, ₹5.47 lakh in FY26 and ₹5.89 lakh (FY27E), against ASP of ₹6.49, ₹7.20 and ₹7.43 lakh, and discount per unit of ₹27,500, ₹27,913 and ₹24,000. ICICI therefore still expects raw-material cost per unit to rise 7.7% in FY27E against a 3.2% rise in ASP, with EBITDA margin down to 9.7%; its recovery comes in FY28E (11.0%) and rests partly on lower discounts (about ₹3,900 per unit).

9.2 Domestic mix, exports and CNG

Mix has contributed both ways. Mini cars (+124.1% in Q1 FY27) and compact cars (+26.2%) carry lower realisations than utility vehicles (+35.2%), but ASP still rose year on year, helped by exports (Q4 FY26 export revenue ₹11,500 cr on 137,215 units, about ₹8.4 lakh a unit, our arithmetic) and CNG (40% of Q1 FY27 sales). A rising export share matters for ASP and for margins: export revenue was about ₹8,200 cr in Q3 FY26 (Q3 call), ₹8,300 cr in Q2 FY26, and ₹11,500 cr in Q4 FY26 and Q1 FY27 (Quartr). With Q1 FY27 exports of 124,736 units, the Quartr figure implies an export ASP of about ₹9.2 lakh (our arithmetic), against a group ASP of ₹7.3 lakh; because Quartr's Q1 figure is identical to the Q4 figure, we treat it as unverified (Appendix F).

Quarter	Export revenue (₹ cr)	Export units	Implied ASP (₹ lakh)	Source
Q2 FY26	~8,300	110,487	7.5	Q2 FY26 call
Q3 FY26	~8,200	~103,100 (derived: 9M FY26 exports 310,559 less H1 207,459)	8.0	Q3 FY26 call
Q4 FY26	~11,500 ($1.24 bn)	137,215	8.4	Q4 FY26 call
Q1 FY27	~11,500 (Quartr)	124,736	9.2	Quartr summary (identical to Q4; possibly carried over)

Q3 FY26 export units: the call states nine-month exports of 310,559 and H1 exports of 207,459, giving about 103,100 for Q3; the call also mentions one missed shipment, which may distort the unit count against the revenue. Export revenue figures are rounded statements from calls or a summary and may include other items.

9.3 What one more million units is worth: capacity economics

Management plans about ₹35,000 cr to lift capacity to 3.65 million units by FY31 and cumulative capex of ₹77,500 cr over FY27–FY31. Applying our own simple arithmetic to the capacity programme: it is unclear from Reuters whether the ₹35,000 cr starts from 2.65 million (before the July 2026 additions) or 2.9 million units, so the capex per unit of added annual capacity is about ₹3.5 lakh (₹35,000 cr ÷ 1.0 million) to ₹4.7 lakh (÷ 0.75 million) (company figures, our arithmetic). At a base ASP of ₹7.4 lakh and a steady-state EBITDA margin of 12.5%, each extra unit sold contributes about ₹0.9 lakh of EBITDA a year, so the pre-tax payback on capacity alone would be roughly four to five years at full utilisation; the full ₹77,500 cr also covers new-model development, R&D;, EVs and other items (CEO, AGM). The same arithmetic is why capex intensity drives our DCF.

10. Forecasts and scenarios

10.1 Base-case assumptions

Maruti does not publish multi-year guidance beyond volume growth of about 10% in FY27, a capex plan, a capacity target and a stated aspiration of margin recovery to about 12% by FY28E (Arihant's summary of the Q1 FY27 call). Our forecasts therefore combine reported run-rates with explicit assumptions, each shown below.

Driver	FY27E	FY28E	FY29E	FY30E	FY31E	Basis
Volume (million units)	2.74	2.93	3.11	3.29	3.46	H1 FY27 actual 1.379M; H2 assumed 1.36M (+1.3% vs H2 FY26); +7%, +6%, +6%, +5% thereafter
Volume growth	13.1%	7.0%	6.0%	6.0%	5.0%	Capacity ~2.9M (Jul-26); 3.65M plan for FY31
ASP (₹ lakh)	7.40	7.58	7.77	7.97	8.17	Q1 FY27 7.32; FY26 7.20; +2.5% a year after FY27E
Net sales (₹ cr)	202,760	222,377	241,613	262,512	282,529	volume × ASP
EBITDA margin (company basis)	10.0%	11.3%	12.0%	12.3%	12.5%	Q1 FY27 8.6%; mgmt "about 12% by FY28E"; our path is slower
Capex (₹ cr)	14,000	17,000	17,000	15,500	14,000	₹14,000 cr FY27 (mgmt); ₹77,500 cr FY27–31 cumulative (AGM) — FY28–31 split is ours
Depreciation (% of sales)	3.8%	3.8%	3.8%	3.8%	3.8%	FY26 3.9%; Q1 FY27 3.6%
Other income (₹ cr)	5,000	5,200	5,500	5,800	6,100	Own assumption; Q1 FY27 ₹1,874 cr (ICICI); FY26 ₹4,392 cr (ICICI)
Tax rate	23.5%	23.5%	23.5%	23.5%	23.5%	FY26 23.4%; ICICI FY27E 23.3%

Standalone basis. "Our path" and the FY28–31 capex split are our assumptions, not company guidance. Dividend per share is not forecast.

10.2 Base-case estimates

₹ crore	FY26A	FY27E	FY28E	FY29E	FY30E	FY31E
Total volume (million units)	2.42	2.74	2.93	3.11	3.29	3.46
Net sales	1,74,370	202,760	222,377	241,613	262,512	282,529
Operating EBITDA	21,450	20,276	25,129	28,994	32,289	35,316
EBITDA margin	12.3%	10.0%	11.3%	12.0%	12.3%	12.5%
Depreciation	6,740 (consol.)	7,705	8,450	9,181	9,975	10,736
EBIT	14,710	12,571	16,678	19,812	22,314	24,580
Other income	4,392 (ICICI)	5,000	5,200	5,500	5,800	6,100
PBT	18,863	17,311	21,608	25,032	27,824	30,380
PAT	14,445	13,243	16,530	19,150	21,285	23,241
EPS (₹)	459	421	526	609	677	739
P/E at ₹11,489 (x)	25.0	27.3	21.9	18.9	17.0	15.5

Our estimates (standalone). FY26A from the company presentation; depreciation FY26 is Screener consolidated; other income FY26 is ICICI's standalone figure. EBIT = EBITDA − depreciation (our 3.8% of sales). EPS uses 31.44 cr shares.

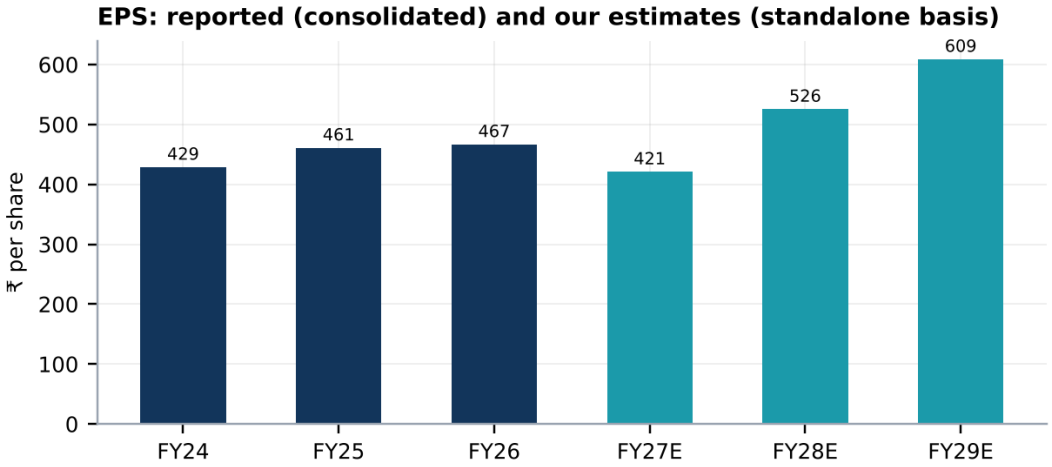


Figure 16: EPS: reported and our estimates. FY24–FY26 consolidated per Screener (₹429, ₹461, ₹467); FY27E–FY29E our standalone estimates.

10.3 Comparison with broker estimates

	Our FY27E	ICICI FY27E (3-Aug-26)	Arihant FY27E (8-Aug-26)	Our FY28E	ICICI FY28E	Arihant FY28E
Net sales / total op. income (₹ cr)	202,760	2,09,838 (incl. other op. income)	2,00,005	222,377	2,34,004	2,28,049
EBITDA (₹ cr)	20,276	20,444	21,469	25,129	25,857	26,879
EBITDA margin	10.0%	9.7%	10.2%	11.3%	11.0%	11.3%
PAT (₹ cr)	13,243	13,408	13,684	16,530	17,241	16,577
EPS (₹)	421	426	435	526	548	527

Sources: ICICI Securities (3-Aug-26); Arihant Capital (8-Aug-26, which has internal inconsistencies in its Q1 table). ICICI's "total operating income" includes other operating income of about 5% of net sales, so revenue is not like-for-like. Arihant FY29E EPS ₹625.5 (table) or ₹623.5 (valuation text); ours ₹609.

Our estimates are within 1–4% of the two brokers on EPS in both years. The difference between our target and theirs is therefore mostly valuation (a DCF leg, which they do not use) and multiple, not earnings. That is important for anyone using this report: if you accept their earnings and 26x–30x, you get ₹13,700–16,450; our blend of the DCF pulls the target down to ₹11,550.

10.4 Scenarios

	Bear	Base	Bull
Volume FY27E / FY31E (M units)	2.68 / 3.11	2.74 / 3.46	2.80 / 3.74
EBITDA margin FY27E → FY30E	9.2% → 10.8%	10.0% → 12.3%	10.5% → 13.8%
Steady-state EBITDA margin	10.8%	12.5%	13.8%
Steady-state EBIT margin (less 3.8% D&A)	7.0%	8.7%	10.0%
DCF value today (₹)	5,862	8,376	10,841
DCF 12M value (₹)	6,574	9,394	12,158

The bull-case steady-state EBIT margin of 10.0% corresponds to the 10% EBIT margin the Suzuki group targets for FY2030-31 and that management said it had adopted as a "guiding light" (Q2 FY26 call). The bear case holds EBITDA margin at 10.8% (EBIT 7.0%), below FY26's 12.3%.

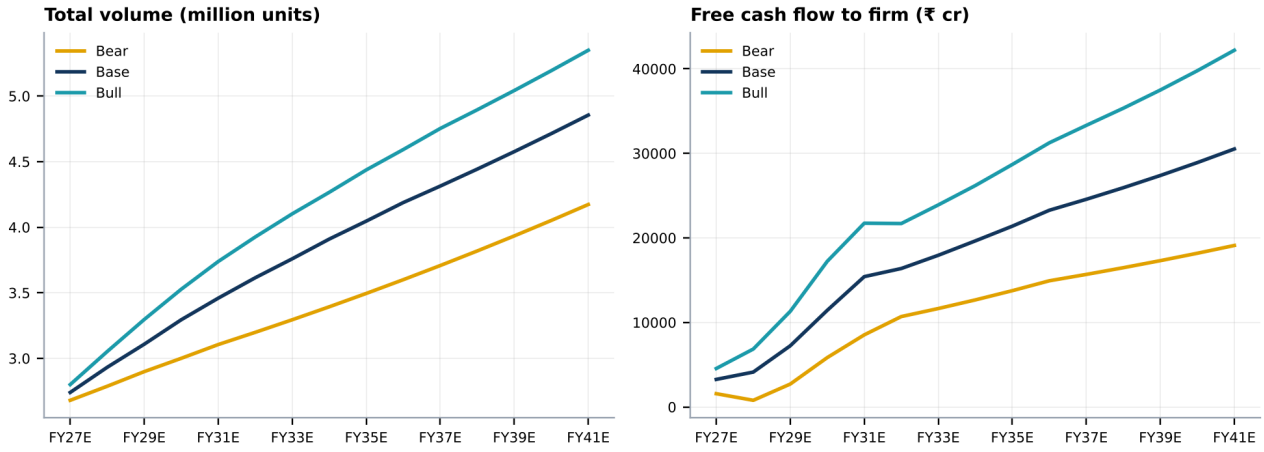


Figure 17: Volume and free cash flow by scenario (our model). FCFF = EBITDA − tax on EBIT − capex; no working-capital change is assumed.

10.5 FY28E EPS sensitivity to volume and margin

FY28E volume (M units) \ EBITDA margin	10.0%	11.3%	12.5%	14.0%
2.70	429	494	553	628
2.93 (base)	455	526	590	672
3.10	475	549	618	704
3.30	498	577	650	741

FY28E EPS (₹) under our other base assumptions (ASP ₹7.58 lakh, depreciation 3.8% of sales, other income ₹5,200 cr, interest ₹270 cr, tax 23.5%). Source: our model.

10.6 What the target multiple implies for different EPS paths

FY28E EPS (₹) \ P/E multiple	22x	24x	26x	28x	30x
450	9,900	10,800	11,700	12,600	13,500
500	11,000	12,000	13,000	14,000	15,000
526	11,572	12,624	13,676	14,728	15,780
548	12,056	13,152	14,248	15,344	16,440
600	13,200	14,400	15,600	16,800	18,000

Illustrative values per share (₹). 526 is our FY28E EPS; 548 is ICICI's; 450 and 600 bracket the range. The current price of ₹11,489 equals 21.8x our FY28E EPS.

A buyer who believes FY28E EPS of ₹548 (ICICI) and pays 26x is paying ₹14,248, which is why brokers can reach ₹14,000–16,500 on a multiple basis while our DCF suggests less. The risk the table makes visible is margin: at a 10.0% EBITDA margin in FY28E (no recovery from the FY27E level) EPS on our volume would be about ₹455 and the value at 26x about ₹11,836, roughly the current price.

11. Valuation

11.1 Method

We use two methods and weight them equally. **Discounted cash flow:** a 15-year free cash flow to the firm (FCFF) model with explicit volume, price, margin and capex assumptions (Section 10) and a terminal value from FY41E. Because Maruti holds about ₹59,001 cr of cash and investments that earn treasury income, we exclude other income from FCFF and add the cash and investments separately at book value. **Earnings multiple:** 26x our FY28E EPS (₹526), the median of the multiples brokers used in the sources we reviewed (30x FY28E ICICI, 28x FY28E ICICI Apr-26, 26x FY28E Axis, 26x Jun-28E Elara, 26x Dec-27E MOFSL, 25.5x FY29E Arihant) and close to ICICI's 'long-period average of about 26x'. A 12-month target on a forward multiple is a standard sell-side convention.

11.2 Cost of capital

Input	Value	Source / comment
Risk-free rate	5.42%	10-year G-sec 7.29% less default spread 1.87% (Damodaran-style)
Equity risk premium	7.08%	Damodaran, India, January 2026 (consistent with our other reports)
Beta	0.95	Our assumption: a published beta could not be retrieved; large-cap, cyclical, net-cash
Cost of equity = WACC	12.15%	No debt, so WACC = cost of equity
Terminal growth	5.0%	Our assumption (nominal INR)
Tax rate on EBIT	24%	FY26 23.4%; our assumption
Share count	31.44 cr	₹157.2 cr equity capital ÷ ₹5 face value
Cash and investments	₹59,001 cr	ICICI Securities FY26P; no debt
Valuation date	1-Apr-26, rolled forward 202 days to 19-Oct-26	12M value = today's value × (1 + cost of equity)

11.3 DCF result

Component	₹ crore	₹ per share
PV of FY27E–FY41E FCFF	103,085	3,279
PV of terminal value	85,081	2,706
Enterprise value	188,166	5,985
Add: cash and investments	59,001	1,877
Less: debt	0	0
Equity value at 1-Apr-26	**247,167**	**7,862**
Rolled forward to 19-Oct-26 (202 days at Ke)		8,376
12-month value (DCF)		**9,394**

Terminal value is 45% of enterprise value. Market EV ≈ ₹302,213 cr (market cap ₹361,214 cr less cash and investments ₹59,001 cr). Source: our model.

The DCF values operations at ₹188,166 cr against a market EV of ₹302,213 cr, a gap of 38%. The DCF's main conservatism is capex: FY27E–FY31E capex of ₹77,500 cr consumes 55% of five-year EBITDA, and the cost of equity of 12.1% is high for a net-cash business. We do not claim the DCF is right and the market wrong; we use it to cap the target.

11.4 Sensitivity

Value today (₹) by WACC \ g	g = 4%	g = 5%	g = 6%
WACC = 10.0%	10,461	11,403	12,816
WACC = 11.0%	9,119	9,717	10,555
WACC = 12.0%	8,123	8,522	9,055
WACC = 12.1%	7,998	8,376	8,878
WACC = 13.0%	7,356	7,633	7,989

Base-case DCF value today (₹ per share). Market price ₹11,489. Source: our model.

At a 10% WACC and 6% terminal growth the DCF reaches ₹12,816; at our WACC it is ₹8,376. The market price is above every cell of this grid except the most generous (10% WACC, 6% growth: ₹12,816), and the 10% WACC / 5% growth cell (₹11,403) is almost equal to the price: the DCF supports the price only if one accepts a cost of equity near 10%. The DCF alone would therefore argue for a Sell; the earnings leg is what keeps the blended rating at Hold.

11.5 Reverse DCF: what the price requires

Holding our margin and capex assumptions, the current price of ₹11,489 requires volume growth about 3.8 percentage points higher every year from FY28E to FY41E at our WACC (1.9 points at an 11% WACC). Alternatively, holding volumes at our base path, it requires a steady-state EBITDA margin of about 17% (EBIT margin about 13%), compared with 13.9% EBITDA in FY25 and the Suzuki group's 10% EBIT aspiration. In plain terms, the market price is consistent with either a much faster and longer volume run than we assume, or margins well above the best year in the company's history, or a cost of equity materially below 12%. The third is the most plausible reading of a market price anchored on earnings multiples.

11.6 Earnings-multiple leg and cross-checks

Multiple	FY28E EPS (₹)	Value (₹)	vs CMP
20x	526	10,515	-8%
22x	526	11,567	+1%
24x	526	12,619	+10%
26x	526	13,670	+19%
28x	526	14,722	+28%
30x	526	15,773	+37%

Our FY28E EPS ₹526. At the current price the shares trade at 21.9x our FY28E EPS and 25.2x trailing earnings (Screener); ICICI shows 31.0x FY26 and 26.0x FY28E at ₹14,235.

Source (date)	Rating	Target (₹)	Basis
ICICI Securities (3-Aug-26)	Buy	16,450	30x FY28E EPS
Arihant Capital (8-Aug-26)	Accumulate	15,900	25.5x FY29E EPS ₹623.5
HSBC (post-Q1 FY27)	–	16,000	as reported

Source (date)	Rating	Target (₹)	Basis
Kotak (post-Q1 FY27)	–	14,600	as reported
Axis Direct (29-Apr-26)	Buy	14,620	26x FY28E
Elara (29-Apr-26)	Buy	16,546	26x Jun-28 EPS
ICICI Securities (29-Apr-26)	Buy	16,150	28x FY28E
MOFSL (earlier)	Buy	17,406	26x Dec-27E EPS
UBS (earlier)	Neutral	13,970	–
Jefferies (earlier)	Hold	13,800	–
Ours (19-Oct-26)	**HOLD**	**11,550**	50:50 DCF/P/E

Sources: ICICI Securities, Arihant Capital, Business Today (29-Apr-26), Multibagg, Swastika. Targets were set when the stock traded between ₹13,350 and ₹14,300; at ₹11,489 their implied upside is larger. We could not confirm each firm's latest view after the September–October fall.

Our target is below every published target we found (the lowest was ₹13,800), and we say so plainly. Two reasons: we give half the weight to a DCF that is conservative on capex and cost of equity, and we have no information that the brokers have updated their numbers since the stock fell about 19% from the levels at which they published. A reader who prefers the brokers' method (26–30x) would take ₹13,700–15,800 as the value range.

11.6a Price action in 2026

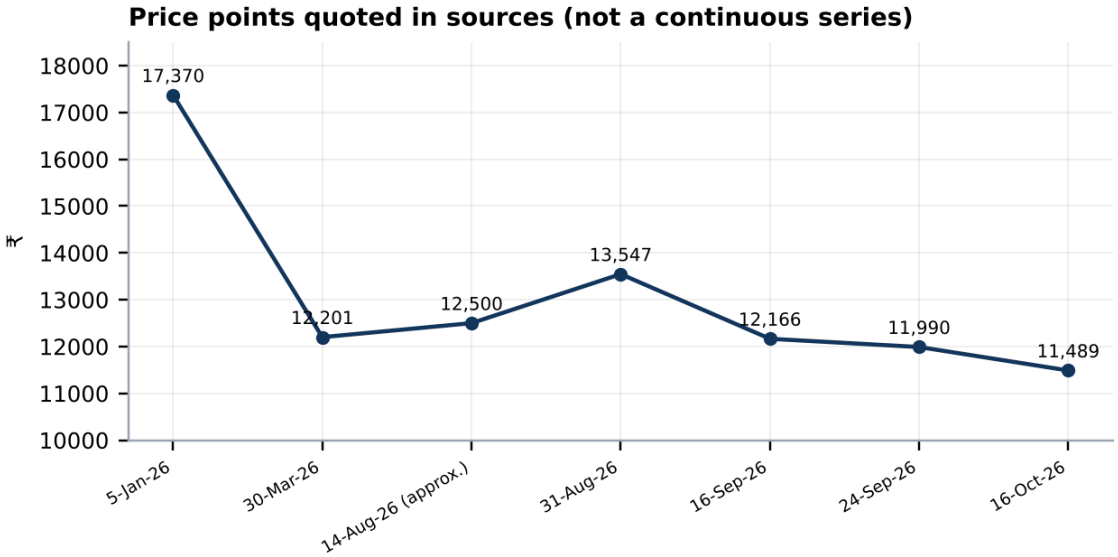


Figure: price points quoted in our sources for 2026 (not a continuous series). Sources: Upstox (high ₹17,370 on 5-Jan; low ₹12,201 on 30-Mar; ₹13,547 on 31-Aug), Kotak Neo, 5paisa (₹12,166 on 16-Sep; ₹11,990 on 24-Sep), Screener (₹11,489 on 16-Oct).

Five reference points frame the debate. The stock peaked at ₹17,370–17,372 on 5 January 2026, before the West Asia conflict (26 February) and the Q3 results' aftermath; Elara noted a ~15% fall by end-April that it attributed largely to earnings cuts. It made a low of ₹12,201 on 30 March, recovered to ₹14,235 on 3 August and ₹13,547 on 31 August, then broke to fresh 52-week lows in September (₹12,166 on 16 September, with 1-month, 3-month and 1-year returns of −12.1%, −11.9% and −20.3%) and ₹11,489 on 16 October. Moving averages on 16 September were: 50-day ₹13,363, 100-day ₹13,571, 200-day ₹13,791 (5paisa). No source we found gives a single cause for the September–October slide; the data available (ICRA's high-base warning on 1 October, price hikes, a Q1 margin miss, FII selling) are consistent with the multiple compressing as earnings estimates came down: ICICI cut its FY27E EPS by 11.6% after Q1.

11.6b What brokers said after the last two results

Firm	After Q4 FY26 (Apr-26)	After Q1 FY27 (Jul/Aug-26)
ICICI Securities	Buy ₹16,150 (28x FY28E); FY27E EPS ₹482 (cut 11.6%)	Buy ₹16,450 (30x FY28E); FY27E EPS cut 11.6% to ₹426; FY28E to ₹548 (−4.8%)
Arihant Capital	–	Accumulate ₹15,900 (25.5x FY29E EPS ₹623.5); FY27E EPS ₹435
Axis Direct	Buy ₹14,620 (from ₹16,860), 26x FY28E; mid-single-digit domestic growth expected	–

Firm	After Q4 FY26 (Apr-26)	After Q1 FY27 (Jul/Aug-26)
Elara Securities	Buy ₹16,546 (from ₹18,686); fall since the war "largely" earnings cuts	–
HSBC	Buy ₹15,000 earlier; valuation "undemanding"	₹16,000
Kotak	–	₹14,600
MOFSL / UBS / Jefferies	MOFSL Buy ₹17,406 (26x Dec-27E); UBS Neutral ₹13,970; Jefferies Hold ₹13,800 (earlier notes)	–

Sources: ICICI Securities (29-Apr-26, 3-Aug-26), Arihant Capital (8-Aug-26), Business Today (29-Apr-26), Multibagg, Swastika. Dates for MOFSL, UBS, Jefferies and HSBC (₹15,000) are not stated in our source and may pre-date April 2026.

11.7 Target price and rating

The 12-month value is ₹9,394 (DCF) and ₹13,670 (26x FY28E EPS), a blend of ₹11,532, rounded to ₹11,550. With a ₹140 dividend (1.2% yield), the expected total return is 1.7%, inside our Hold band (Buy above +15%; Sell below −10%). Conviction is medium: the earnings leg is supported by two brokers whose estimates match ours, but the DCF leg is sensitive to cost of equity and capex.

11.8 Bull and bear arguments

Bull case (what the Street would argue)	Bear case (what our model argues)
Supply-constrained demand with ~130,000 orders and 13 days of stock; capacity +0.5M units	Industry is forecast by ICRA to slow to 4–6% in FY27 after +29%; inventory is rising (38–40 days industry, +5 days in a month)
Margin recovery is largely timing and price: ~110 bps of the ~300 bps hit is a settlement change; three price actions taken	Commodities and forex are not in management's control; "subject to these headwinds of the war"
Net cash ₹59,001 cr (₹1,877 a share); ~30% dividend payout	₹77,500 cr of capex over five years uses ~4x FY26 operating cash flow
CAFE-III final curve is weight-based; Maruti expected to gain most	Hybrid/EV content raises cost; flex-fuel and EV volumes small for 5–10 years
Exports >55% of India's PV exports; Q4 FY26 record	SIAM: industry PV exports −5.2% in Q2 FY27; logistics risk from West Asia
Stock 34% below high; 25x trailing P/E is below its ~26x average	Even our bull-case DCF (₹10,841 today) is about 6% below the market price

11.9 Price levels at which the rating would change

Holding our ₹11,550 target constant, the rating bands translate into price levels: Buy below ₹10,043 (more than 15% total return) and Sell above ₹12,833 (below −10%). At ₹11,489 the stock is 14% above our Buy trigger and 10% below our Sell trigger. The 52-week low of ₹11,125 (Screener) is within about 3% of the current price; a retest would bring the Buy trigger within reach without any change to our fundamental view.

12. Risks

Risks to our Hold rating cut both ways: upside risks (what would make the shares worth more than ₹11,550) and downside risks. We list them with the evidence in our sources.

Risk	Direction	Why it matters	Indicator to watch
Commodity prices (aluminium, PGM, copper, rubber, plastics, steel)	Downside	Material cost rose 600 bps YoY in Q1 FY27; steel cannot be hedged; PGM ~2% of car net sales	Q2 FY27 material cost % of sales (80.5% in Q1)
Forex (JPY and USD)	Downside / upside	Adverse in Q1 FY27; favourable ~30 bps in Q4 FY26	Management bridge in Q2 call
West Asia conflict and logistics	Downside	Management cites cost, energy and shipping risk; SIAM: PV exports −5.2% in Q2 FY27	Export units; freight comments
Supplier settlement cycle	Upside if reversed	~110 bps of the Q1 hit is a temporary shift from quarterly to monthly settlement	Confirmation that quarterly settlement is restored
Demand normalisation after GST	Downside	ICRA: FY27 wholesales +4–6% after +29% in 5M; management flagged pulled-forward demand	Monthly dispatches; dealer stock
Price increases and affordability	Mixed	Hikes support margin but ICRA lists them as a growth moderator	Retail vs wholesale in October–November
Competition in SUVs	Downside	Rivals moving faster; Tata and Mahindra ~13% each (FADA)	Maruti UV share; Victoris, Brezza bookings
Capacity ramp and launches	Mixed	+0.5M units in four to five months; 28 models by FY30 incl. 7 SUVs; model development takes ~4 years so launches are lumpy	Utilisation; new-launch timing
Capex scale	Downside	₹77,500 cr over FY27–31; payback depends on utilisation	Capex vs guidance; depreciation

Risk	Direction	Why it matters	Indicator to watch
Treasury income	Downside / upside	Other income was 44% of Q1 FY27 PBT; Q4 FY26 had ~₹750 cr MTM hit when yields rose ~50 bps	Bond yields
Regulation (CAFE-III, ELV Rules)	Downside	CAFE-III tightens ~16.7%; ELV obligation not estimable	Compliance cost disclosures
Parent relationship / royalty	Unknown	Royalty not analysed (data unavailable)	Related-party disclosures in annual report
FII selling	Downside	FII stake 12.82% vs 21.85% in Sep-23	Quarterly shareholding
Governance of share count / data	Low	Screener and brokers show different share counts for some years; we use 31.44 cr	–

Sources as given in earlier sections.

13. Catalysts and monitoring list

- **27 October 2026 — Q2 FY27 results.** Test: EBITDA margin vs 8.6% in Q1 and vs our FY27E 10.0%; material cost % of sales; other income (Q1 ₹1,874 cr).
- **Monthly dispatches (early each month).** Q2 FY27 total 696,654 units (our sum); October festive data and retail vs wholesale.
- **Price actions.** Realised price after discounts; whether the supplier settlement cycle has reverted.
- **e-Vitara and Hansalpur Line 4 ramp.** Domestic EV volumes and the EV share of mix.
- **CAFE-III implementation (from 1-Apr-27).** Product plan for hybrids and CNG; cost per vehicle.
- **Management commentary on FY27 volume guidance** (about 10%) and any shift to a number for exports.
- **ICRA/SIAM data for October–March.** SIAM expects positive growth though moderating on a higher base; supports include festive demand, new launches and infrastructure spending; risks include inflation raising rates and geopolitics.

14. Scenario detail and sensitivity analysis

This section opens up the valuation model. Every figure is the output of our own assumptions (stated in the tables) applied to company-reported starting points; none is a company forecast or a consensus number. The purpose is to let a reader see which assumptions move the answer and by how much, so the rating can be challenged on its inputs rather than taken on trust.

14.1 Scenario assumptions side by side

Assumption	Bear	Base	Bull
Volume FY27E (million units)	2.68	2.74	2.80
Volume growth FY28E–FY31E	4%, 4%, 4%, 4%	7%, 6%, 6%, 5%	9%, 8%, 7%, 6%
ASP FY27E (₹ lakh), growth after	7.35, +2.0%	7.40, +2.5%	7.45, +3.0%
EBITDA margin FY27E→FY30E	9.2% → 10.0% → 10.5% → 10.8%	10.0% → 11.3% → 12.0% → 12.3%	10.5% → 12.2% → 13.1% → 13.8%
Steady-state EBITDA margin (FY31E+)	10.8%	12.5%	13.8%
Capex FY27E–FY31E (₹ cr)	14,000; 17,000; 17,000; 15,500; 14,000	14,000; 17,000; 17,000; 15,500; 14,000	14,000; 17,000; 17,000; 15,500; 14,000
Capex after FY31E (% of sales)	5.0% fading by 0.15 pt a year to 4.4%	5.0% fading by 0.15 pt a year to 4.4%	5.0% fading by 0.15 pt a year to 4.4%

All figures are our own assumptions. Common to all scenarios: cost of equity 12.1%, terminal growth 5%, tax 24% of EBIT, depreciation 3.8% of sales, no working-capital change, cash and investments ₹59,001 cr, no debt.

14.2 Valuation bridge by scenario

Item	Bear	Base	Bull
PV of FY27E–FY41E FCFF (₹ cr)	60,712	103,085	143,262
PV of terminal value (₹ cr)	53,253	85,081	117,635
Enterprise value at 1-Apr-26 (₹ cr)	113,965	188,166	260,897
Add: cash and investments (₹ cr)	59,001	59,001	59,001
Less: debt (₹ cr)	0	0	0
Equity value (₹ cr)	172,966	247,167	319,898
Value per share at 1-Apr-26 (₹)	5,501	7,862	10,175
Value per share today (₹)	5,862	8,376	10,841
12-month forward value (₹)	6,574	9,394	12,158
Terminal value share of EV	47%	45%	45%

Shares 31.44 cr. Our target (₹11,550) is the 50:50 blend of the base-case 12-month DCF and 26x FY28E EPS, rounded to ₹50.

Probability weighting (illustrative). If a reader assigns 25% / 50% / 25% to the bear, base and bull cases (weights are our illustration, not estimated probabilities), the weighted DCF value today is ₹8,364 per share against a market price of ₹11,489. Even the bull case (₹10,841) sits slightly below the market price on DCF, the central finding of the valuation: the price already assumes margins and volumes at or above our bull path, or a lower cost of equity.

14.3 Bear and bull projections in full

Bear case (₹ crore unless stated)

Year	Volume (M)	ASP (₹ lakh)	Net sales	EBITDA	EBIT	Capex	FCFF
FY27E	2.68	7.35	196,980	18,122	10,637	14,000	1,569
FY28E	2.79	7.50	208,956	20,896	12,955	17,000	786
FY29E	2.90	7.65	221,661	23,274	14,851	17,000	2,710
FY30E	3.00	7.80	234,007	25,273	16,381	15,500	5,841
FY31E	3.11	7.96	247,042	26,680	17,293	14,000	8,530
FY32E	3.20	8.11	259,542	28,031	18,168	12,977	10,693
FY33E	3.29	8.28	272,675	29,449	19,087	13,225	11,643
FY34E	3.39	8.44	286,472	30,939	20,053	13,464	12,662
FY35E	3.49	8.61	300,968	32,505	21,068	13,694	13,754
FY36E	3.60	8.78	316,197	34,149	22,134	13,913	14,924
FY37E	3.71	8.96	332,196	35,877	23,254	14,617	15,680
FY38E	3.82	9.14	349,005	37,693	24,430	15,356	16,473
FY39E	3.93	9.32	366,665	39,600	25,667	16,133	17,307
FY40E	4.05	9.51	385,218	41,604	26,965	16,950	18,182
FY41E	4.17	9.70	404,710	43,709	28,330	17,807	19,102

Bear-case projections from our model. Own assumptions; not company guidance.

Bull case (₹ crore unless stated)

Year	Volume (M)	ASP (₹ lakh)	Net sales	EBITDA	EBIT	Capex	FCFF
FY27E	2.80	7.45	208,600	21,903	13,976	14,000	4,549
FY28E	3.05	7.67	234,195	28,572	19,672	17,000	6,850
FY29E	3.30	7.90	260,519	34,128	24,228	17,000	11,313
FY30E	3.53	8.14	287,118	39,622	28,712	15,500	17,231
FY31E	3.74	8.39	313,475	43,260	31,348	14,000	21,736
FY32E	3.93	8.64	339,023	46,785	33,902	16,951	21,697
FY33E	4.10	8.90	364,908	50,357	36,491	17,698	23,901
FY34E	4.27	9.16	390,889	53,943	39,089	18,372	26,190
FY35E	4.44	9.44	418,721	57,783	41,872	19,052	28,682
FY36E	4.59	9.72	446,377	61,600	44,638	19,641	31,246
FY37E	4.75	10.01	475,860	65,669	47,586	20,938	33,310
FY38E	4.90	10.31	504,840	69,668	50,484	22,213	35,339
FY39E	5.04	10.62	535,585	73,911	53,558	23,566	37,491
FY40E	5.19	10.94	568,202	78,412	56,820	25,001	39,774
FY41E	5.35	11.27	602,806	83,187	60,281	26,523	42,196

Bull-case projections from our model. Own assumptions; not company guidance.

14.4 Sensitivity grids

Grid 1: steady-state EBITDA margin (capped) vs WACC

Steady-state EBITDA margin cap \ WACC	10.0%	11.0%	12.1%	13.0%
10.0%	8,333	7,186	6,277	5,773
11.0%	9,598	8,235	7,153	6,553
12.5%	11,403	9,717	8,376	7,633
14.0%	11,403	9,717	8,376	7,633
16.0%	11,403	9,717	8,376	7,633

The cap limits the margin path at the stated level (the base path reaches 12.5%, so caps above that have no effect). Source: our model.

Grid 2: extra volume growth vs terminal growth

Extra volume growth (pts each year) \ terminal growth	g = 4%	g = 5%	g = 6%
+0 pts	7,998	8,376	8,878
+1 pts	8,643	9,076	9,648
+2 pts	9,357	9,851	10,505
+3 pts	10,147	10,710	11,456

Extra volume growth (pts each year) \ terminal growth	g = 4%	g = 5%	g = 6%
+4 pts	11,022	11,663	12,512

"+3 pts" adds three percentage points to volume growth in each of FY28E–FY41E. Source: our model.

Grid 3: scenario vs WACC

Scenario \ WACC	10.0%	11.0%	12.1%	13.0%
Bear	7,747	6,696	5,862	5,400
Base	11,403	9,717	8,376	7,633
Bull	15,025	12,695	10,841	9,813

Source: our model.

Grid 4: cost-of-equity inputs

Beta \ equity risk premium	ERP 6.00%	ERP 7.08%	ERP 8.00%
beta 0.80	10,975	9,601	8,711
beta 0.95	9,553	8,376	7,618
beta 1.10	8,502	7,476	6,818
beta 1.25	7,696	6,789	6,210

Risk-free 5.42% held constant. Beta of 0.95 is our assumption. Source: our model.

14.5 Tornado and capex sensitivity

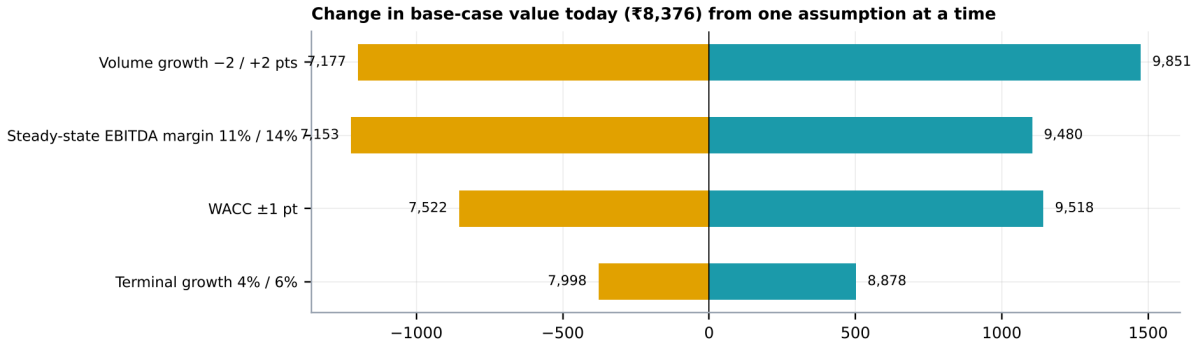


Figure 18: one-at-a-time sensitivity of base-case DCF value per share today (₹). Source: our model.

Capex vs plan (FY27E–FY31E and after) → value today (₹)	Value (₹)
80% of plan	9,594
100% of plan	8,376
120% of plan	7,159
140% of plan	5,942

Capex scaled uniformly in every year; EBITDA unchanged, i.e. the grid isolates the cost of the capital programme. Source: our model.

Reading the grids. Value is most sensitive to the discount rate and to the steady-state margin, then to volume growth. The capital programme matters because we assume no working-capital inflow and no operating benefit beyond our volume and margin paths: a reader who believes the capex plan will also lift margins (hybrids, EVs, scale) should use the margin grid, not the capex grid. Even a bull-case path with margins at 13.8% does not reach the market price on DCF at our cost of equity; at a 10% WACC the base case reaches ₹11,403.

14.6 Watch-list for Q2 FY27

Item	Last reported (Q1 FY27)	Management marker	What would change our view
EBITDA margin (company basis)	8.6%	~12% by FY28E; recovery from Q2/Q3	Q2 margin above ~10% would support our FY27E 10.0%
Material cost % of net sales	80.5%	Settlement cycle to revert; price hikes	Below ~78% would support the recovery
Volume	682,724; Q2 696,654 (our sum)	~10% FY27 growth; supply-constrained	H2 run-rate above ~700,000 a quarter would lift our base volume
Domestic PV share	41.2%	Goal of 50% (Suzuki target for FY30–31)	Share loss would hurt both legs
Other income	₹1,874 cr	–	Lower yields/MTM would cut PAT, not EBITDA
Regulation	CAFE-III notified; ELV Rules unquantified	Cannot estimate ELV obligation	Any cost disclosure

Item	Last reported (Q1 FY27)	Management marker	What would change our view
Cash	₹59,001 cr (FY26P)	Capex ₹14,000 cr FY27	Large capex or acquisitions

Sources: Q1 FY27 presentation and call notes; our framing in the right-hand column.

14.7 Two-way grid: volume growth and margin together

Extra volume growth \ steady-state EBITDA margin cap	11.0%	12.5%	14.0%	16.0%
+0 pts	7,153	8,376	9,480	10,952
+1 pts	7,724	9,076	10,304	11,943
+2 pts	8,357	9,851	11,219	13,043
+3 pts	9,058	10,710	12,233	14,264

Value per share today (₹). Margin columns above 12.5% lift the steady-state margin from FY31E onward; 11% caps it. The 12.5% / +0 pts cell is the base case. Source: our model.

The grid shows why the DCF cannot be rescued by growth alone: three extra points of volume growth every year add less than lifting the steady-state margin by 1.5 points, because volume growth also brings forward capex in our model.

14.8 Management quote bank (verbatim, from transcripts we read)

Call / speaker	Quote	Our reading
Q2 FY26 — Rahul Bharti	“the buoyancy of GST reduction will reflect in the future quarters.”	Borne out in Q3–Q1 FY27 volumes
Q2 FY26 — Rahul Bharti	“this 10% EBIT margin we have also adopted as a guiding light.”	Aspiration, not guidance
Q2 FY26 — Arnab Roy	“One factor alone will not give you the 100% correlation here.”	Margin drivers are multiple
Q3 FY26 — Rahul Bharti	“We clocked our highest-ever retail sales of about 684,000 units in quarter 3 of this year.”	Peak retail at the time
Q3 FY26 — Rahul Bharti	“at present, we are constrained by supplies.”	Capacity, not demand, was the limit
Q3 FY26 — Rahul Bharti	“the query remains in our mind, what is the sustainable level of demand after the euphoria is over.”	Management’s own caution on GST demand
Q3 FY26 — Rahul Bharti	“there is no dearth of funds.”	On capex
Q4 FY26 — Rahul Bharti	“the broad expectation that our chairman also conveyed is about 10% growth in this year.”	FY27 volume anchor
Q4 FY26 — Rahul Bharti	“If you can help me predict the war, I can predict the exports number.”	No export guidance
Q4 FY26 — Rahul Bharti	“we are very confident and optimistic that, subject to these headwinds of the war.”	Margin confidence is conditional

Quotes as they appear in the transcript text we read (AlphaStreet; MarketScreener); transcripts may contain transcription errors.

15. Evidence register: what we read, how directly, and how we used it

The brief asked for analysis of several earnings calls, annual reports, regulator publications and well-known industry reports. Because the shell cannot reach most websites and some full PDFs were not retrievable, our evidence differs in quality across sources. This register states that plainly so a reviewer can weigh each conclusion by the strength of what stands behind it.

15.1 Grading scheme

Grade	Meaning	Typical use in this report
A	Primary document text read by us (transcript, presentation, filing)	Management quotes, margin bridges, segment data
B	Company disclosure as reported by two or more outlets that agree, or a broker table read in full	Quarterly figures, estimates, targets
C	Single-outlet report of a company, regulator or third-party document	Context and direction; figures flagged where used
D	Conflicting or unverifiable item	Excluded from numbers; listed in Appendix F

15.2 Register

Source	Type	Access	Grade	How used
Q2 FY26 earnings-call transcript (31-Oct-25)	Concall	Read (cut off mid-Q&A;)	A	7.1: GST effect, festive data, margin bridge
Q3 FY26 earnings-call transcript (28-Jan-26)	Concall	Read	A	7.2: labour-code provision, bridge, capex, pricing

Source	Type	Access	Grade	How used
Q4 FY26 earnings-call transcript (28-Apr-26)	Concall	Read (garbled in parts)	A	7.3: FY27 outlook, treasury, war
Q1 FY27 call (31-Jul-26)	Concall	Via ICICI/Arihant notes and Quartr summary	B/C	7.4: margin bridge, capacity, guidance
FY24 integrated annual report	Annual report	NSE PDF excerpt	A/B	6.2; truncated notes
FY25 BRSR 2025 and results	Annual report (part)	NSE PDF excerpt	A/B	6.3
FY26 results, AGM notice, Reuters/Upstox	Annual report (indirect)	Press release read; coverage via press	B	6.4
Q4 FY26 and Q1 FY27 investor presentations	Company	Read	A	Sections 8–9; all margin and segment tables
Monthly sales releases (Jul–Sep 2026)	Company	Press release / Autocar Pro	B	Q2 FY27 volume sum
GST 2.0 rate changes	Regulator	CarDekho summary	C	Section 3.2, 5
CAFE-III notification and draft	Regulator	Deccan Chronicle; Outlook Business	B/C	Section 5
End-of-Life Vehicles Rules 2025	Regulator	Company statement via Quartr	C	Section 5 (unquantified)
CCI 2014 penalty	Regulator	BRSR FY25 excerpt	B	Section 5, 6.3
SIAM Q2 FY27 and FY26	Industry association	Autocar Pro; KNN India	B	Section 3
ICRA FY27 PV outlook (1-Oct-26)	Rating-agency report	Autocar Pro summary	C	Sections 3, 12
Maruti market forecast 6.1–6.3M units by FY31	Company annual report	Reuters	C	Section 3.3
ICICI Securities (29-Apr-26, 3-Aug-26)	Broker	Read in full	B	Sections 7–11
Arihant Capital (8-Aug-26)	Broker	Read (inconsistencies noted)	B/C	Sections 7, 10–11
Axis, Elara, MOFSL, HSBC, Kotak, UBS, Jefferies	Broker targets	Via press	C	Section 11.6
Screener, 5paisa, Upstox, Kotak Neo	Data / news	Direct page reads	B/C	Prices, history, shareholding

"Via" means we relied on the named outlets' reporting rather than the primary document.

15.3 How the evidence limits our conclusions

- **Quotes.** Verbatim quotes from Q2–Q4 FY26 are from transcript text we read; Q1 FY27 statements are as attributed in broker notes.
- **Annual reports.** We did not read full PDFs for FY25 and FY26. Related-party transactions, royalty, contingent liabilities and key audit matters are not analysed (Appendix F).
- **Regulation.** The notified CAFE-III text, GST notification and ELV Rules were read through press summaries only; no compliance cost is modelled.
- **Industry reports.** ICRA and SIAM are cited as summarised by the press; methodologies were not reviewed.
- **Consensus.** No consensus data was available; the Street comparison uses published broker targets.
- **Our model.** Beta, steady-state margin, capex split and growth paths beyond guidance are our assumptions; Section 14 shows their effect.

15.4 Reading order for a reviewer

A reviewer short of time can read Section 1 (summary), Section 7 (what management said and how it changed), Section 11 (valuation) and Section 14 (sensitivities), then Appendix F for the data conflicts. A reviewer who disagrees with the rating should start with Grid 1 and the tornado in Section 14 because they show how little the target depends on any one input compared with how much it depends on the blend of methods.

16. Frequently asked analytical questions

Is the GST-driven demand surge sustainable? Management flagged pulled-forward demand and an open question on sustainable demand "after the euphoria is over" (Q3 FY26 call); ICRA forecasts only 4–6% wholesale growth for FY27 after +29% in five months and cites a high base and price hikes. Our base case has Maruti's H2 FY27 volume up about 1% on H2 FY26 and +7% in FY28E. Any reversal of the GST cut is not discussed in our sources.

Is the margin fall temporary? Partly. Management attributes ~110 bps of ~300 bps to a supplier-settlement timing change that it can reverse, and has taken three price actions. The remaining ~190 bps (our arithmetic) depends on commodity and forex easing. We assume recovery to 10.0% in FY27E, 11.3% in FY28E and 12.0% in FY29E, slower than the "about 12% by FY28E" management hope reported by Arihant.

How much of the market cap is cash? ₹59,001 cr of cash and investments (ICICI, FY26P) is 16.3% of the ₹3,61,217 cr market cap, or ₹1,877 per share. Consolidated investments on Screener's balance sheet are higher (₹76,838 cr at March 2026) but include items that may not be freely liquid; we use the lower broker figure.

Why does the DCF give so much less than the market? Three reasons: a cost of equity of 12.1% (beta 0.95 assumed); ₹77,500 cr of capex over FY27–31 that consumes about 55% of five-year EBITDA; and a steady-state EBITDA margin of 12.5% below FY25's 13.9%. Section 14 shows the effect of each.

Is Maruti losing share? Share rose to 41.2% in Q1 FY27 from 38.9% a year earlier (+230 bps) after being below 40% earlier in FY27 (Kotak Neo) and 39.3% in FY26 (ICICI). Tata and Mahindra are each about 13% on FADA retail data; the bases differ so we do not compute share changes across them.

What does CAFE-III mean for margins? Tighter fuel-efficiency (16.7% over five years) raises technology cost, but the final curve is weight-based with credits for EVs, hybrids, flex-fuel and biofuels, and Deccan Chronicle reports Maruti is expected to gain the most. No cost number appears in our sources.

What is the dividend outlook? FY26 dividend ₹140 (30.5% payout), ICICI estimates ₹140 for FY27E and ₹175 for FY28E. Net cash and operating cash flow of ₹19,100 cr (FY26, consolidated) support it, but capex of ₹14,000 cr in FY27 uses 73% of that cash flow.

What are the biggest unknowns? Royalty to Suzuki Motor, related-party flows and contingent liabilities (not retrieved); the ELV Rules cost (company cannot estimate); realised price after discounts; and whether Q1 FY27's margin miss is the trough.

Appendix A. Annual financials (consolidated, Screener)

₹ crore	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Sales	50,801	57,589	68,085	79,809	86,068	75,660	70,372	88,330	118,410	141,858	152,913	183,316
Expenses	43,909	48,565	57,664	67,692	75,012	68,305	64,961	82,578	105,288	123,232	132,689	161,786
Operating profit	6,892	9,024	10,421	12,118	11,056	7,355	5,411	5,752	13,122	18,626	20,224	21,530
Other income	817	1,464	2,399	2,155	2,664	3,410	3,046	1,861	2,415	4,248	5,199	4,569
Interest	218	82	89	346	76	134	102	127	252	194	194	239
Depreciation	2,515	2,822	2,604	2,760	3,021	3,528	3,034	2,789	4,846	5,256	5,608	6,742
PBT	4,976	7,585	10,127	11,167	10,624	7,103	5,321	4,697	10,438	17,424	19,620	19,118
Net profit	3,809	5,497	7,511	7,881	7,651	5,678	4,389	3,880	8,264	13,488	14,500	14,680
OPM	13.6%	15.7%	15.3%	15.2%	12.8%	9.7%	7.7%	6.5%	11.1%	13.1%	13.2%	11.7%
EPS (₹)	126	182	249	261	253	188	145	128	274	429	461	467

Source: Screener (16-Oct-26). Interest, depreciation and tax lines as displayed; PBT may not sum exactly due to rounding and exceptional items.

Appendix B. Balance sheet and cash flow (consolidated, Screener)

₹ crore	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Equity capital	151	151	151	151	151	151	151	151	157	157	157	157
Reserves	24,167	30,465	36,924	42,408	46,941	49,262	52,350	55,182	74,443	85,479	96,083	106,999
Borrowings	666	231	484	121	160	184	541	426	1,248	119	87	102
Fixed assets	12,490	12,530	13,311	13,389	15,437	15,744	14,989	13,747	27,941	27,865	32,983	34,523
Investments	13,298	20,676	29,151	36,123	37,504	37,488	42,945	42,035	49,184	57,296	66,265	76,838
Total assets	34,477	42,726	51,960	60,248	63,969	63,628	71,376	74,656	100,106	115,304	131,016	148,880
CFO	6,449	8,482	10,282	11,788	6,601	3,496	8,856	1,840	10,815	16,801	16,180	19,100
CFI	(4,491)	(7,230)	(9,173)	(8,302)	(3,540)	(557)	(7,291)	(239)	(8,820)	(11,865)	(14,500)	(14,734)
CFF	(2,004)	(1,237)	(1,129)	(3,436)	(2,948)	(3,104)	(1,545)	(1,607)	(1,214)	(4,062)	(4,155)	(4,484)

Source: Screener.

Appendix C. DCF detail (base case)

Year	Volume (M)	ASP (₹ lakh)	Net sales	EBITDA	EBIT	Tax	Capex	FCFF
FY27E	2.74	7.40	202,760	20,276	12,571	3,017	14,000	3,259
FY28E	2.93	7.58	222,377	25,129	16,678	4,003	17,000	4,126
FY29E	3.11	7.77	241,613	28,994	19,812	4,755	17,000	7,239
FY30E	3.29	7.97	262,512	32,289	22,314	5,355	15,500	11,434
FY31E	3.46	8.17	282,529	35,316	24,580	5,899	14,000	15,417
FY32E	3.61	8.37	302,624	37,828	26,328	6,319	15,131	16,378
FY33E	3.76	8.58	322,597	40,325	28,066	6,736	15,646	17,943
FY34E	3.91	8.80	343,888	42,986	29,918	7,180	16,163	19,643
FY35E	4.05	9.02	364,822	45,603	31,740	7,617	16,599	21,386
FY36E	4.19	9.24	387,031	48,379	33,672	8,081	17,029	23,268
FY37E	4.31	9.47	408,608	51,076	35,549	8,532	17,979	24,566
FY38E	4.44	9.71	431,388	53,923	37,531	9,007	18,981	25,935
FY39E	4.58	9.95	455,438	56,930	39,623	9,510	20,039	27,381
FY40E	4.71	10.20	480,828	60,104	41,832	10,040	21,156	28,907
FY41E	4.85	10.46	507,634	63,454	44,164	10,599	22,336	30,519

₹ crore. Cost of equity 12.1%, terminal growth 5%, tax 24% on positive EBIT. Terminal FCFF = FY41E FCFF × 1.05. Cash flows discounted at mid-year. Source: our model.

Appendix C2. Quarterly volume and mix databook

Units	Q1 FY26	Q2 FY26	Q3 FY26	Q4 FY26	Q1 FY27	Q2 FY27 (sum)
Total	527,861	550,874	667,769	676,209	682,724	696,654
Domestic	–	440,387	–	538,994	557,988	–
Exports	–	110,487	~103,100 (derived)	137,215	124,736	–
Mini	–	–	–	36,247	43,757	–
Compact + mid-size	–	–	–	247,160	226,029	–
UVs	–	–	–	219,721	218,885	–
Vans	–	–	–	34,867	36,557	–
LCV	–	–	–	10,110	9,579	–
Sales to other OEMs	–	–	–	27,136	23,181	–

Sources: investor presentations (Q4 FY26, Q1 FY27), call transcripts (Q2, Q3 FY26), ICICI (Q1 FY26 total), monthly releases. "–" = not retrieved. Q1 FY27 mini + compact + mid-size = 43,757 + 226,029 (company groups compact and mid-size).

Appendix C3. Update checklist for the Q2 FY27 results (27 October 2026)

Input to refresh	Where it enters	Direction that would raise our value
Standalone EBITDA margin	FY27E 10.0%, path to 12.5%	Q2 margin above ~10% with material cost below ~78%
Volume and ASP	FY27E 2.74M, ASP ₹7.40 lakh	H2 run-rate above ~700,000 a quarter
Other income and MTM	Other income ₹5,000 cr FY27E	Lower bond yields
Capex guidance	₹14,000 cr FY27E; ₹77,500 cr FY27–31	Lower or deferred capex, or higher utilisation
Cash and investments	₹59,001 cr	Larger net cash
Share price	₹11,489 reference	Buy below ₹10,045; Sell above ₹12,835 at ₹11,550 TP
Regulatory notices	ELV Rules; CAFE-III implementation	Quantified costs

Appendix C4. Company-reported standalone results (₹ million)

₹ million	FY25	FY26	YoY	Q4 FY25	Q4 FY26	Q3 FY26	Q1 FY26	Q1 FY27
Sales volume (units)	2,234,266	2,422,713	8.4%	604,635	676,209	667,769	527,861	682,724
Net sales	1,450,980	1,743,695	20.2%	388,391	500,787	475,344	366,206	499,591
Operating EBITDA	201,492	214,502	6.5%	48,426	61,569	55,717	46,206	43,111
Operating EBIT	145,422	147,097	1.2%	33,812	44,092	38,374	30,649	25,311
PBT	194,127	188,629	−2.8%	48,618	48,360	48,300	49,060	43,413
PAT	142,976	144,454	1.0%	38,573	35,905	37,940	37,581	33,521
Material cost % sales	73.8	75.9	+210 bps	74.3	76.7	76.2	74.5	80.5
Employee cost % sales	4.8	5.2	+40 bps	4.6	4.5	5.7	5.6	4.9
Other expenses % sales	12.8	11.7	−110 bps	13.9	11.3	11.4	12.7	11.0
EBITDA margin %	13.9	12.3	−160 bps	12.5	12.3	11.7	12.6	8.6
EBIT margin %	10.0	8.4	−160 bps	8.7	8.8	8.1	8.4	5.1
Non-operating income % sales	3.5	2.5	−100 bps	3.9	1.0	2.2	5.1	3.7
PAT margin %	9.9	8.3	−160 bps	9.9	7.2	8.0	10.3	6.7

Source: company investor presentations (Q4 FY26, Q1 FY27); prior periods restated for the SMG amalgamation. Q3 FY26 per the Q4 FY26 presentation's Q3 column.

Appendix C5. Pricing and discount tracker

Date	Action / data	Source
Sep-25 (Q2 FY26)	Limited-time price correction −20 bps; sales promotion −75 bps QoQ in Q2 margin bridge	Q2 FY26 call
Jan-26	Usual start-of-year price hike skipped ("would not be ethical" right after a tax cut, Bharti); 70 bps price cut on some models committed through end-January	Q3 FY26 call
Q4 FY26	Discounts down ~50 bps QoQ; discount per unit ₹27,913 in FY26 (ICICI)	Q4 FY26 call; ICICI
From Jun-26	Price increase of up to ₹30,000 on select models (~50 bps)	Chola Securities; Arihant
Aug-26	Further price increase (as reported)	Arihant

Date	Action / data	Source
Sep-26	Price increases of up to ₹20,000 on select models to offset rising costs	SAHI
FY27E	ICICI assumes discount per unit ₹24,000 (FY28E ₹25,000)	ICICI

We could not find a total realised price increase for FY27; sources report increases by model and month only.

Appendix C6. Environmental and people metrics over time

Metric	FY24 (AR)	FY25 (BRSR)	FY26 (AGM/press)
Solar capacity	48 MWp (+30 MWp in progress)	78.2 MWp	79.1 MW; 211.3 MW by 2030-31
Renewable share of electricity	–	~16%	~35% target by 2030-31
Scope 1 / Scope 2 (tCO2e)	–	225,537 / 215,368 (FY24: 212,545 / 202,067)	–
Permanent employee turnover	Voluntary attrition 2.6% (regular employees)	3.99% (FY24: 4.51%)	–
CSR spend	₹110.4 cr (required ₹91.68 cr)	–	–
Biogas / CBG	Pilot at Manesar (Jun-24)	–	Four CBG projects, ₹561 cr

Sources: FY24 annual report; BRSR 2025; Reuters/Upstox on the FY26 annual report and AGM. Metrics are not strictly comparable across years (attrition vs turnover definitions differ).

Appendix D. Glossary

Term	Meaning
ASP	Average realisation per vehicle: net sales ÷ total units (ICICI's definition)
BRSR	Business Responsibility and Sustainability Report
CAFE	Corporate Average Fuel Efficiency norms (BEE/Ministry of Power)
CNG	Compressed natural gas
EBIT / EBITDA	Operating profit before/after depreciation. Company "operating EBITDA" includes other operating income
ELV Rules	End-of-Life Vehicles (Environment Protection) Rules, 2025
FADA	Federation of Automobile Dealers Associations (retail data)
FCFF	Free cash flow to the firm = EBITDA − tax on EBIT − capex
GST 2.0	The 22-Sep-25 GST rate reset: cars 18% (small) or 40% (large)
MTM	Mark-to-market (valuation change on treasury investments)
OEM	Original equipment manufacturer; "sales to other OEMs" are vehicles Maruti sells to other makers
PGM	Platinum-group metals (platinum, palladium, rhodium) used in catalytic converters
SIAM	Society of Indian Automobile Manufacturers
SMG	Suzuki Motor Gujarat Pvt Ltd, amalgamated into Maruti 1-Dec-25
UV	Utility vehicle (SUV and MPV)
Standalone / consolidated	Maruti alone vs with subsidiaries/associates; margins in this report are standalone

Appendix E. Sources

- Maruti Suzuki India Ltd: Q1 FY27 and Q4 FY26 investor presentations (marutisuzuki.com; NSE archives); FY26 results press release (28-Apr-26); September 2026 sales release (1-Oct-26); FY24 integrated annual report and BRSR 2025 (NSE archives); 45th AGM notice (via InvestyWise).
- Earnings-call transcripts: Q2 FY26 (MarketScreener), Q3 FY26 and Q4 FY26 (AlphaStreet); Q1 FY27 via ICICI Securities and Arihant Capital notes and a Quartr summary; Arthneeti Q4 FY26 call analysis.
- Broker research: ICICI Securities result updates (29-Apr-26, 3-Aug-26); Arihant Capital (8-Aug-26); Business Today (post-Q4 brokers); Multibagg; Swastika; Elara, Axis, MOFSL, HSBC, Kotak, UBS, Jefferies as reported.
- Industry and regulator: SIAM Q2 FY27 and FY26 (Autocar Professional; KNN India; Outlook Business); ICRA FY27 outlook (Autocar Professional, 1-Oct-26); GST Council rate changes (CarDekho); CAFE-III (Deccan Chronicle, Outlook Business); FADA data (Autocar Professional); Reuters on Maruti's PV market forecast; SAHI; Upstox; Kotak Neo; Business Today.
- Market data: Screener consolidated (16-Oct-26); 5paisa price notes; PSU Connect (Q2 results date).

Appendix F. Data notes: conflicts, derivations and gaps

- **Share price.** Screener close ₹11,489 on 16-Oct-26 (market cap ₹3,61,217 cr). Earlier points: ₹14,235 (ICICI, 3-Aug), ₹13,547 (31-Aug), ₹12,166 (16-Sep), ₹11,990 (24-Sep). We could not retrieve a Bloomberg/NSE print

for 16-Oct to cross-check.

- **52-week range.** Screener "High/Low" ₹17,372/₹11,125; Upstox says 52-week low ₹12,201 (30-Mar-26) as of August; 5paisa shows ₹12,159 as a new low on 16-Sep.
- **EBITDA margin definitions.** Company standalone Q1 FY27: 8.6% (on net sales, includes other operating income); ICICI: 8.2%; Arihant text 8.6%/table 8.22%; Screener consolidated 8% OPM. We use the company's 8.6%.
- **Arihant report.** Cover and page 2 differ on CMP (₹14,102 vs ₹14,205) and target (₹15,900 vs ₹15,106), the Q1 table shows net sales ₹52,456 cr (total operating income) vs ₹49,959 cr in text, and FY29E EPS 623.5 vs 625.5. We quote the cover figures.
- **EPS.** FY24 EPS ₹431 (annual report), ₹420.1 (ICICI), ₹429.01 (Screener consolidated); FY26 ₹459 (standalone), ₹466.9 (consolidated).
- **Q4 FY26 PAT.** Standalone ₹3,591 cr (company), consolidated ₹3,659 cr (Screener), some outlets ₹3,850 cr (Aliceblue headline).
- **10% EBIT target.** Mentioned by management on the Q2 FY26 call as Suzuki Motor's mid-term target and adopted as a "guiding light"; ICICI says an analyst's reference to it was not confirmed on the Q4 call; Arthneeti lists it as a long-term target.
- **Kharkhoda Phase 2 timing.** April 2026 (Q4 call) vs May 2026 (Arihant).
- **Quartr export revenue.** Q1 FY27 ₹11,500 cr is identical to the Q4 FY26 figure and may be a carry-over; not verified.
- **Employee numbers.** FY24 report 18,228 regular employees; BRSR FY25 14,280 permanent employees plus 5,686 permanent workers.
- **Derived figures.** Q2 FY27 volume = July 241,421 + August 219,220 + September 236,013 = 696,654; H1 FY27 = 1,379,378; H1 FY26 = 1,078,735. Q3 FY26 exports ≈ 310,559 − 207,459 = 103,100. Price-per-unit and raw-material-per-unit use ICICI's raw-material expense and company volumes.
- **Not available to us:** a published beta; consensus estimates; royalty paid to Suzuki Motor Corporation; related-party and contingent-liability notes; auditors' key audit matters; full FY25 and FY26 annual-report PDFs; the Q1 FY27 transcript text; competitor financials; historical multiples; FADA-basis Maruti share; the notified CAFE-III and ELV Rules texts.

Appendix G. Methodology, rating bands and disclaimer

Rating (12-month total return = price return + dividend): Buy above +15%, Hold from −10% to +15%, Sell below −10%. Target = 50% × DCF 12-month value + 50% × 26x FY28E EPS, rounded to the nearest ₹50. Scenarios are our own and are not probability-weighted unless stated. Cost of equity is CAPM with a 5.42% risk-free rate, 7.08% equity risk premium and an assumed beta of 0.95. Estimates, margins, volumes, capex splits and multiples are our own assumptions. Figures are from public sources as of 19 October 2026 (prices 16 October 2026) and may be revised; results of Q2 FY27 are due on 27 October 2026. **This document was prepared with AI assistance from public sources; it is not investment advice, is not a recommendation to buy or sell any security, and has not been reviewed by a registered research analyst. Verify all figures against the company's filings before relying on them.**

Appendix H. Audit trail: how each derived figure was computed

Derived figure	Formula	Inputs
Market capitalisation	Price × shares	₹11,489 × 31.44 cr = ₹361,214 cr (Screener: ₹3,61,217 cr)
Market EV	Market cap − cash and investments + debt	₹361,214 − ₹59,001 + 0 = ₹302,213 cr
Cost of equity	Rf + beta × ERP	5.42% + 0.95 × 7.08% = 12.15%
Net sales (forecast)	Volume × ASP	e.g. FY27E 2.74M × ₹7.40 lakh = ₹2,02,760 cr
EBITDA	Net sales × margin	Margin path 10.0%, 11.3%, 12.0%, 12.3%, 12.5% steady state
FCFF	EBITDA − 24% × EBIT − capex	EBIT = EBITDA − 3.8% of sales; no working-capital change
Terminal value	FCFF(FY41E) × 1.05 ÷ (Ke − 5%)	Discounted 14.5 years
Value today	Equity value ÷ shares × (1+Ke)^(202/365)	202 days from 1-Apr-26 to 19-Oct-26
12M DCF value	Value today × (1 + Ke)	No dividend adjustment
P/E leg	26 × FY28E EPS	26 × ₹526 = ₹13,670
Target	50% DCF 12M + 50% P/E leg, rounded to ₹50	0.5 × 9,394 + 0.5 × 13,670 = 11,532 → 11,550
Total return	(TP ÷ price − 1) + dividend yield	0.5% + 1.2% = 1.7%
EPS (forecast)	PAT ÷ 31.44 cr	PAT = (EBIT + other income − interest) × (1 − 23.5%)
Q2 FY27 volume	Jul + Aug + Sep sales releases	696,654 units (+26.5% vs 550,874)

Source: our model. Numbers reproduce the tables in Sections 10, 11 and 14.